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Temenos T24™

Tamweel Aloula

FUNCTIONAL SPECIFICATION DOCUMENT

R24 (IFRS9)

Document History

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1. Introduction

Tamweel Aloula has decided to implement Temenos T24 Core Banking System and will be using the browser version. The functional specification will cover Customization and Configuration changes needed for Model bank implementation on R24 Release.

2. Reference Documentation

The purpose of this document is to provide the solutions of the Gaps identified during the Business Process Alignment held with Tamweel Aloula team.

Document Name	Embedded Document	Author, Company
BPR Document	 BPR IFRS 9 Tamweel Aoulula - Final (For re	Systems Limited
BSDP Document	 Tamweel Aloula Business Solution Des	Systems Limited
Sample ECL calculation sheet	 Tamweel Aloula Bank Sample ECL working.x	Tamweel Aoulula
ECL Policy Document	 ECL Methodology Followed by Tamweel	Tamweel Aoulula
Sample File for ECL calculation in T24 Transact	 ECL Example - T24 Ttransact.xlsx	Systems Limited

3. Requirement Overview

Requirement Reference	Requirement Title	Gap Type
BRD01-01	IFRS9 Models to use	Configuration

BRD01-02	PD Type- for stage – Stage 1 & 2 LGD model/approach	Customization
BRD01-03	<i>Staging of Loans deals</i>	Customization
BRD01-04	Basis of cashflows changes	Configuration
BRD01-05	Macro-Economic Factor addition to the ECL calculation	Customization

4. Existing Functionality

The processes under IFRS 9 module in T24 Transact are explained as follows:

- Introduction,
- Configuration & Classification,
- Calculation & Measurement,
- Takeover Process,
- Enquiries

4.1 Introduction

4.1.1 Loans:

Contracts entered through the AA Loans have few pivotal fields to trigger the IFRS processing and to raise the accounting entries to reflect the IFRS measurement.

When the contracts are authorized, the cash flow details (present and future cash flows including principal component, profit, charges, etc.) are updated in core system file EB.CASHFLOW, and 1 COB there-after (in case Staging & ECL calculation frequency is set as Daily), the EB.CONTRACT.BALANCES, the IFRS.ACCT.BALANCES and optional IFRS.ACCOUNTING.DETAIL files are also updated.

The screenshot displays the T24 EDITOR interface for configuring Islamic IFRS Reporting Setup. The top bar shows the title 'T24 EDITOR' and a toolbar with various icons. Below the toolbar, the 'Product Conditions - Reporting' section is active, showing the product code 'TDF.ISL.IFRS.REPORTING-SAR-20210101' and the user 'Tourism Dev Fund Lead'. The main area contains a 'GB Description' field with the value 'Islamic IFRS Reporting Setup'. Below this, there are several tabs: 'IFRS Details', 'Position Management', 'Annual Percentage', 'Negotiation Rules', 'Access', and 'Audit'. The 'IFRS Details' tab is selected, showing fields for 'IFRS Classification' (AMC), 'IFRS Subtype' (AMCIFRS9IO), and 'Market Key' (7).

The above screenshot shows the AA loan product condition of “TAMWEEL ALOULA.ISL.IFRS.REPORTING” having fields IFRS Classification, IFRS Sub Type with given values to appropriately link with the Islamic loan products for IFRS accounting as required. This is one type set up at parameter level.

Manage Own Book Portf		999999-19	(BANK OF AMERICA)
Account No..1		v	i
Safekeeping Acct		v	i
Start Date		v	i
Portfolio Type		v	i
Reclassify?	☒ [None] ☐ No ☐ Y		
Reclass Date			
Own Book Revaluation Audit			
Dealer Book			
Clean Book Cost	☒ [None] ☐ No ☐ Y		
Realised PL Prft	53505	v	i
Realised PL Loss	53510	v	i
Int Paid Cat	50000	v	i
Int Recd Cat	51000	v	i
Cap Paid Cat	52600	v	i
Cap Recd Cat	52600	v	i
Coupon Tax Status	☒ [None] ☐ Exempt ☐ Non.exempt		
Tax Payable Cat		v	i
Coupon Payble	17505	v	i
Coupon Recble	12505	v	i
Cpn Adj Dr Cat	12505	v	i
Cpn Adj Cr Cat	17505	v	i
Tax Reclaimed	12210	v	i
Post Disc Upfront?	☒ [None] ☐ No ☐ Y		
Accr Disc Y?	☐ [None] ☐ No ☒ Y		
Linear Comp Accr	Eir	v	i
Discount Cat	51600	v	i
Disc to RealPL Y?	☒ [None] ☐ No ☐ Y		
IFRS Sub Type	FVOCIIFRS9IO	v	i
IAS Classification	FVOCI	v	i
Check Limit?	☒ [None] ☐ No ☐ Y		

The above screenshot shows the SEC.ACC.MASTER (Security Portfolio) having fields IAS Classification, IFRS Sub Type given values to appropriately link the contract to the IFRS accounting as required.

4.1.1.1 EB.CASHFLOW:

EB.CASHFLOW is the central data repository of the cash flow engine. It stores the cash flow information as per repayment schedule. When AA and MM deals are entered and authorized an EB.CASHFLOW record is created, which contains details of the deal, the cash flow and the EIR, where applicable.

The EB.CASHFLOW record also holds the details of the expected cash flows if a contract is to be impaired. The details are entered through the [IFRS.DATA.CAPTURE](#) application. See related pages on the IFRS.DATA.CAPTURE for more details.

EB.CASHFLOW 2000001611 (Tourism Dev Fund Lead)		
Customer Id	100220	ASIF AHMED
Ias Classification	AMC	Amortised Cost
Ias Sub Type	AMCIFRS9IO	
Accounting Method	AMC-IFRS9	
Asset Liab Ind	A	
Currency	SAR	Saudi Riyal
Interest Basis	A	360/360
Market Key	7	
Margin Operand		
Contract Rate	3.00	
Value Date	13 APR 2021	13 APR 2021
Maturity Date	13 JAN 2022	13 JAN 2022
Accrual Method	FIRST-DAY	
Cash Flow Date.1	13 APR 2021	13 APR 2021
Cash Flow Type.1	PRINCIPAL-ACCOUNT	
Cash Flow Amt.1	-10,000	
Cash Flow Date.2	13 MAY 2021	13 MAY 2021
Cash Flow Type.2	PRINCIPAL-ACCOUNT	
Cash Flow Amt.2	1,100.05	
Cash Flow Date.3	13 MAY 2021	13 MAY 2021
Cash Flow Type.3	INTEREST-DEFERREDPFT	
Cash Flow Amt.3	25	
Cash Flow Date.4	13 JUN 2021	13 JUN 2021
Cash Flow Type.4	PRINCIPAL-ACCOUNT	
Cash Flow Amt.4	1,102.8	

EB.CASHFLOW 2000001611 (Tourism Dev Fund Lead)		
Cash Flow Date.18	13 JAN 2022	13 JAN 2022
Cash Flow Type.18	PRINCIPAL-ACCOUNT	
Cash Flow Amt.18	1,122.21	
Cash Flow Date.19	13 JAN 2022	13 JAN 2022
Cash Flow Type.19	INTEREST-DEFERREDPFT	
Cash Flow Amt.19	2.81	
Posting Details Id	AMC-IFRS9IO	IF
Eir Req	Y	
Eir	3.0348295186892	
Product Category	3100	
Stage	1	
Next Review Date	15 APR 2021	15 APR 2021
Application	AC	
Curr No	1	
Inputter.1	97347_TEST.2	
Date Time.1	18 MAY 21 15:27	18 MAY 21 15:27
Authoriser	97347_TEST.2	
Co Code	SA-002-1001	
Dept Code	1	

The above screenshot shows the EB.CASHFLOWS for the AA contract

EB.CASHFLOW 100100-26.100000-370		
Customer Id	100100	ARAS PETROLEUM INVEST. CORR. DANMAM
Ias Classification	AMCIFRS9	AMC IFRS9
Ias Sub Type	SC-EIRIF	
Accounting Method	SC-EIRIF	
Asset Liab Ind	A	
Currency	USD	US Dollar
Interest Basis	A	360/360
Contract Rate	3.75	
Value Date	21 JUN 2019	21 JUN 2019
Maturity Date	24 APR 2023	24 APR 2023
Accrual Method	FIRST-DAY	
Cash Flow Date.1	21 JUN 2019	21 JUN 2019
Cash Flow Amt.1	-1,005,937.5	
Cash Flow Date.2	24 OCT 2019	24 OCT 2019
Cash Flow Amt.2	18,750	
Cash Flow Date.3	24 APR 2020	24 APR 2020
Cash Flow Amt.3	18,750	
Cash Flow Date.4	24 OCT 2020	24 OCT 2020
Cash Flow Amt.4	18,750	
Cash Flow Date.5	24 APR 2021	24 APR 2021
Cash Flow Amt.5	18,750	
Cash Flow Date.6	24 OCT 2021	24 OCT 2021
Cash Flow Amt.6	18,750	

Cash Flow Date.7	24 APR 2022	24 APR 2022
Cash Flow Amt.7	18,750	
Cash Flow Date.8	24 OCT 2022	24 OCT 2022
Cash Flow Amt.8	18,750	
Cash Flow Date.9	24 APR 2023	24 APR 2023
Cash Flow Amt.9	1,018,750	
Posting Details Id	SC-EIRIF	SC-Amortised Cost
Eir Req	Y	
Eir	3.7840754343418	
Stage	1	
Next Review Date	22 MAY 2020	22 MAY 2020
Application	SC	
Curr No	1	
Inputter.1	9_EODAGENT1	
Date Time.1	31 JUL 19 14:28	31 JUL 19 14:28
Authoriser	9_EODAGENT1	
Co Code	SA-001-0001	
Dept Code	1000	

The above screenshot shows the EB.CASHFLOWS for the SC trade deal. The id of the record is combination of id of SEC.ACC.MASTER (Portfolio) and id of SECURITY.MASTER (Security). All other below files use the same id structure for SC trade deals.

4.1.1.2 EB.CONTRACT.BALANCES:

These are standard balance records, which are updated to store details asset type wise based on the position types. Where the POSITION.TYPE is other than TR, the ASSET TYPE fields are prefixed with IF* as seen in the example below:

Contract wise Balances							
Contract	CCY	Balance Type	Mat Date	Open Balance	Credit Mvmt	Debit Mvmt	Closing Balance
2000001611	SAR	TOTCOMMITMENT	NONE	-10,000.00			-10,000.00
		TOTCOMMITMENTBL	NONE	10,000.00			10,000.00
		CURACCOUNT	NONE	-10,000.00			-10,000.00
		RECDEFERREDPFT	NONE	-125.42			-125.42
		ACCDEFERREDPFT	NONE	120.42			120.42
		IF*51055	NONE	1,000.49			1,000.49

The above screenshot shows the EB.CONTRACT.BALANCES for an AA contract.

4.1.1.3 IFRS.ACCT.BALANCES:

The IFRS.ACCT.BALANCES application stores various balances (calculated balances) for different asset types per contract.

For an AA contract, the following record is generated.

IFRS.ACCT.BALANCES 2000001611 (Tourism Dev Fund Lead)			
Acct Head Type.1	AMORTISED		
Balance.1	-125.41		
Last Calc Date.1	15 APR 2021	15 APR 2021	
Last Calc Amt. 1	0.01		
Acct Head Type.2	AMORTISED-STAGE1		
Balance.2	1,000.41		
Last Calc Date.2	18 APR 2021	18 APR 2021	
Last Calc Amt.2	0.08		
Contract Balance	-9,879.58		
Npv Con Cf Amort	-10,004.98		
Npv Exp Cf Amort	-9,004.49		
Prob Of Deft	20.00		
Loss Given Deft	50.00		
Ecl	1,000.49		
Ifrs9 Contract Bal	-9,004.49		
Stage	1		

The above screenshot shows the IFRS.ACCT.BALANCES for an AA contract showing the amount balance in various Asset Heads

- The field BALANCE shows yesterday's balance.
- The field LAST.CALC.AMT shows today's movement.
- The field CONTRACT.BALANCE shows today's figure for EB.CONTRACT.BALANCE.

4.1.1.4 IFRS.ACCOUNTING.DETAILS:

The IFRS.ACCOUNTING.DETAILS file holds the details of the various components used for the calculation of IFRS entries. Each record is held date wise and contract/ deal wise.

If the UPDATE.ACCT.DTLS field has been set to Yes in the IFRS.ACCRUAL.PARAM. Then the system produces this lower level detail record for each deal per day. If set to No, then these records are not produced.

The records can be activated for testing and de-activated once live, if the bank considers it as appropriate.

IFRS.ACCOUNTING.DETAILS		2000001611-20210414	(Tourism Dev Fund Lead)
Acct Head Type.1	AMORTISED		
Ifrs Balance.1	-125.41		
Acct Head Type.2	AMORTISED-STAGE1		
Ifrs Balance.2	1,000.17		
Contract Balance	-9,876.25		
Npv Con Cf Amort	-10,001.66		
Npv Exp Cf Amort	-9,001.49		
Cashflow Version	1		
Curr Num	2		
Period Date.1	15 APR 2021	15 APR 2021	
I9act Head Type.1	AMORTISED-STAGE1		
Prob Of Deft.1	20.00		
Loss Given Deft.1	50.00		
I9npv Con Cf Amort.1	-10,001.66		
I9npv Exp Cf Amort.1	-9,001.49		
Ecl.1	1,000.17		
Stage.1	1		

4.2 Configuration & Classification:

To classify assets (Loans, MM deals and Securities) according to IFRS9 standards, the following parameter tables are needed for processing.

Please note that, the PV Module's configuration is completed before proceeding with IFRS9 configuration. The PV set up is done for setting up the credit risk parameters. PV parameters are not required for SC module.

The following tables for PV module is configured in the sequence as mentioned below:

- PV.LOAN.CLASSIFICATION
- PV.PROFILE
- PV.MANAGEMENT

After completing the PV configuration, the IFRS9 configuration is setup. The configuration of IFRS9 follows the below sequence:

- ST.REGULATORY.PARAMETER
- IAS.CLASSIFICATION
- IFRS.PARAMETER
- IFRS.ACCT.METHODS
- IFRS.POSTING.DETAILS
- IFRS.EVENT.TYPE
- IFRS.SUB.TYPE
- IFRS.ACCRUAL.PARAM

PD and LGD can be defined in system Tables in the following order of priority for ECL calculations:

1. PV.ASSET.DETAIL – optional at contract level
2. PV.CUSTOMER.DETAIL – optional at customer level
3. PV.PROFILE – mandatory at product level

When PD,LGD values are defined at contract, customer and product levels, the system uses the appropriate PD and LGD values in the following order:

- If PD/LGD is defined in PV.ASSET.DETAIL then take it, else

- If PD/LGD is defined in PV.CUSTOMER.DETAIL then take it, else
- If PD/LGD is defined at the Product Level in PV.PROFILE

To classify Accounts, local ref. field for STAGE is introduced in ACCOUNTS, which is input at creation level.

MD.DEAL MD2111187805 (Tourism Dev Fund Lead)			ACCOUNT 2000002707 IAS Test (Tourism Dev Fund Lead)		
Customer	100220	ASIF AHMED	Customer	100220	ASIF AHMED
Currency	SAR	Saudi Riyal	Category	5-001	Nostro - Banks
Ccy Market	1	Currency Market	GB Account Title 1	IAS Test	
Principal Amount	10,000.00		GB Account Title 2	IAS Test	
Deal Date	19 APR 2021	19 APR 2021	GB Short Title	IAS Test	
Value Date	19 APR 2021	19 APR 2021	Mnemonic	IASTEST	
Maturity Date	18 JUN 2021	18 JUN 2021	Position Type	TR	TRADING POSITION
Contract Type	Ca		Currency	SAR	Saudi Riyal
Deal Sub Type	LNGTE		Currency Market	1	Currency Market
Category	28-026	LOAN GTEE (SE)	Account Officer	1	Implementation
Limit Upd Req	Yes		L Tdf Lgd	.5	
Limit Reference	2505.01		L Tdf Pd1	.2	
Account Officer	1	Implementation	L Tdf Stage	1	
Advice Req	No				
Country Risk	US	United States of America			
Country Exposure	US	United States of America			
Limit Amount	10,000.00				
L Tdf Stage	1				
L Tdf Lgd	.5				
L Tdf Pd1	.2				

4.2.1 PV.LOAN.CLASSIFICATION:

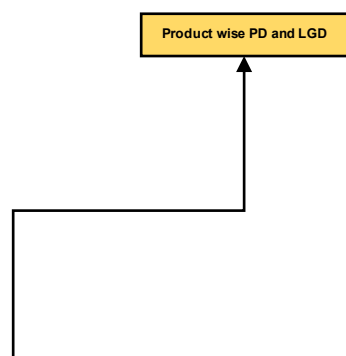
The loan classification types for the purpose of provision is listed in this parameter and defined ranking for the same.

PV.LOAN.CLASSIFICATION - Default List				
Id	Rank	Reserved 5	Reserved 4	Reserved 3
DOUBTFUL	60			
STAGE-1	1			
STAGE-2	2			
STAGE-3	3			
STANDARD	10			
SUB-STANDARD	30			
WATCHLIST	20			
WRITEOFF	90			

4.2.2 PV.PROFILE:

A PV.PROFILE is created for AA Loan and MM deals for IFRS processing. Provision profile (PV.PROFILE) contains definitions of the type of calculation to be performed, basis of provision calculation and percentages to be applied.

A contract can follow only one type of calculation, hence either the IFRS or Standard Provision Percentage is allowed as part of the T24 core processing. In addition, an API may be used to perform a calculation via locally developed routines as per client requirement.



PV.PROFILE IFRS-20210412 (Tourism Dev Fund Lead)

GB Description	IFRS9 PROVISION	
Prov Calc.1	Ifrs	
Class.1.1	STAGE-1	1
Class.1.2	STAGE-2	2
Class.1.3	STAGE-3	3
Accounting	Deal	
Posting Details	DEFAULT.IFRS Default for IF Group Provision	
Prob Of Deft.1	20.00	}
Prob Of Deft.2	30.00	
Loss Given Deft	50.00	
Curr No	1	
Inputter.1	329_AAMIR.01__OFS_BROWSERTC	
Date Time.1	11 MAY 21 17:20 11 MAY 21 17:20	
Authoriser	328_MURAD.01__OFS_BROWSERTC	
Co Code	SA-002-1001	Tourism Dev Fund Lead
Dept Code	1	Implementation

PV.PROFILE - Windows Internet Explorer

Jump to: PV.PROFILE - Default List >

PV.PROFILE STANDARD-20110101 (Model Bank)

Prov Type.2	TOTALPVINTEREST	
Prov Calc.2	PERCENTAGE	
Source Balance.2	PROVINTCHG	Total Int and Charge for Provision
Class.2.1	STANDARD	10
Std Percent.2.1	2	
Class.2.2	WATCHLIST	20
Std Percent.2.2	5	
Class.2.3	SUB-STANDARD	30
Std Percent.2.3	10	
Class.2.4	DOUBTFUL	60
Std Percent.2.4	40	
Class.2.5	WRITEOFF	90
Std Percent.2.5	100	
Accounting	Deal	
Posting Details	DEFAULT.PERCENTAGE	Details for Standard Provision
Collateral Use	Mitigate	

201015 - MAIN Perforce | INPUTTER | Local intranet 100%

The PV.PROFILE input of CLASS must be in descending order of Rank.

PV.PROFILE holds current and historical parameter pertaining to the automatic Classification and Provisioning of an Asset.

The Provision calculation (field PROV.CALC) may be "IFRS", "PERCENTAGE", or "API" if a locally developed routine is being used.

The Source Balance field is only allowed if the Provision Calculation is not "IFRS", and may be a valid AC.BALANCE.TYPE record or valid ASSET.TYPE.

The Collateral Use field is only allowed if the Provision Calculation is not "IFRS", but is allowed for Standard Provisioning.

The Posting Details input must exist in the IFRS.POSTING.DETAILS application and is mandatory if there is any value in the Prov Calc field.

This file is held by date. An additional reference file (PV.PROFILE.XREF) contains a list of the dates held for the Provision Profile.

4.2.3 PV.MANAGEMENT:

Provision management (PV.MANAGEMENT) is a parameter table where the frequency for classification & accounting of Provisioning (not applicable for IFRS9, it is separately defined in IFRS.PARAMETER and IFRS.ACCRUAL.PARAM) is defined, products subject to Provisioning is defined and rules to determine the classification is defined. The system allows multiple PV Management records to be created thus allowing different classification and provisioning rules for different groups of products. For example commercial loans may be treated differently to personal loans.

PV.MANAGEMENT **AA.LOANS** (Tourism Dev Fund Lead)

GB Description	IFRS09 PROVISIONING	
Job Frequency	M0101	M0101
Posting Timing	Delay	
Posting Delay	1	
Profile Id	IFRS	20100816
Class Level	Loan	
Product.1	Aa	Arrangement Architecture
Class Api.1	NBPSA.PV.GET.CLASSIFICATION	NBPSA.PV.GET.CLASSIFICATION
Product Line.1.1	LENDING	Lending
Class Frequency	DAILY	DAILY
Calc Post Freq	BSNSS	BSNSS
Curr No	3	
Inputter.1	565_MURAD.01__OFS_BROWSERTC	
Date Time.1	20 MAY 21 06:55	20 MAY 21 06:55
Authoriser	565_MURAD.01__OFS_BROWSERTC	
Co Code	SA-002-1001	Tourism Dev Fund Lead
Dept Code	1	Implementation

For the PRODUCT field in this record the Category codes are only valid for non-AA products such as MM. The AA product accepts the PRODUCT.LINE and PRODUCT.GRP entries instead.

“DELAY” is the only value allowed in the POSTING.TIMING field.

For Delay in posting, the number of days for Delay are entered in the POSTING.DELAY field. Accordingly, a recalculation takes place prior to posting to take into account any changes that may have taken place since the last calculation.

Only a single Provision Profile is allowed; hence the percentages for specific classification is applied to all contracts falling under that classification.

4.2.4 ST.REGULATORY.PARAMETER:

This parameter table is defined to initiate the applicability of IFRS9 in the system.

ST.REGULATORY.PARAMETER **IFRS** (Tourism Dev Fund Lead)

GB Desc.1	Testing	
Curr Rule Book	2017	
Curr No	1	
Inputter.1	1_201709	
Date Time.1	19 MAR 21 14:36	19 MAR 21 14:36
Authoriser	38132_INPUTTER_OFS_MB.OFS.AUTH0	
Co Code	SA-001-0001	Tourism Dev Fund DEV
Dept Code	1	Implementation

4.2.5 IFRS.PARAMETER:

A parameter table named IFRS.PARAMETER is used to define the rules specific to the IFRS 9 regulation.

The Effective Date field in the table is to specify the Effective date for the regulation i.e. 01 Jan 2018. The parameter table is made flexible to define different Effective Dates as and when a particular country becomes an adopter to IFRS 9. The field Stage in the table is associated Multi-valued fields to define the Stages based on the rules of IFRS 9 i.e. Stage 1, Stage 2 & Stage 3.

IFRS.PARAMETER SA-002-1001 Tourism Dev Fund Lead (Tourism Dev Fund Lead)		
GB Description	IFRS Testing	
Effective Date	22 APR 2017	22 APR 2017
Stage.1	1	
Loan Classification.1.1	STAGE-1	1
Review Frequency.1	20210412BSNSS	12 APR 2021 Every working day
Pd Type.1	12 Month	
Stage.2	2	
Loan Classification.2.1	STAGE-2	2
Review Frequency.2	20210412BSNSS	12 APR 2021 Every working day
Pd Type.2	Lifetime	
Stage.3	3	
Loan Classification.3.1	STAGE-3	3
Review Frequency.3	20210412BSNSS	12 APR 2021 Every working day
Pd Type.3	Lifetime	
Calc Ecl Option	Cob	
Pd Val Fmt	Percentage	
Lgd Val Fmt	Percentage	
Upd Contract Stage	Yes	
Quantitative Cashflow Type	Latest	
Quantitative Threshold	99.00	
Override.1	Frequency changes would be effective from TODAY's COB	
Override.2	Frequency changes would be effective from TODAY's COB	
Override.3	Frequency changes would be effective from TODAY's COB	
Curr No	2	
Inputter.1	321_AAMIR.01__OFS_BROWSERTC	
Date Time.1	11 MAY 21 16:37	11 MAY 21 16:37
Authoriser	327_MURAD.01__OFS_BROWSERTC	
Co Code	SA-002-1001	Tourism Dev Fund Lead
Dept Code	1	Implementation

The above screenshot shows the screen of IFRS.PARAMETER with the Stages and the corresponding classification.

The field stage accepts a valid record from the table PV.LOAN.CLASSIFICATION.

Loan Classification is based on the logic of payment on the asset going no. of days past due. The following table shows the loan classification and the corresponding DPD for it. The stage under which the loan classification is also shown in this example. If required, two or more loan classifications can be clubbed under a single stage also.

The Guarantee and Bank Account are dealt by IA module, where IAS.PARAMETER defines rules for IFRS9:

IAS.PARAMETER SA-002-1001 (Tourism Dev Fund Lead)		
GB Description	Provision on Guar and Bank acct	
Calculation Freq	27 APR 2021DAILY	27 APR 2021 Daily
Accounting Freq	30 APR 2021M0101	30 APR 2021 Monthly on day 1

Stage 1

The requirement of the regulation is to classify the asset directly under Stage 1 as soon as it is recognized in the books of accounts unless a different stage either 2 or 3 is assigned to it.

At this stage 12 months Expected Credit Losses are recognized.

Stage 2

If the credit risk increases significantly and the resulting credit quality is not considered to be low credit risk. This is the point when the asset moves from Stage 1 to stage 2

At this stage full lifetime Expected Credit Losses are recognized.

Stage 3

If the credit risk of a financial asset increases to the point that it is considered credit-impaired, then the assets move from Stage 2 to Stage 3. Financial assets in this stage are normally individually assessed.

At this stage the Impairment Loss is booked.

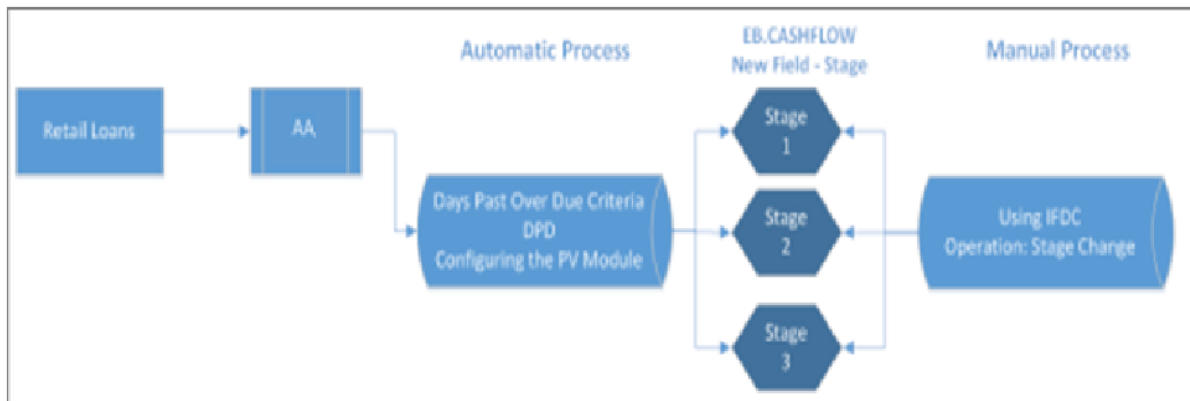
Criteria to group the assets under different stages:

Instrument Types	T24 Application	Criteria
Retails Loans	AA, LD, MG	Normal practice to move the asset from one stage to another is based on the Days Past Due (DPD) criteria. However an option is provided in the system if the user wants to change the stages manually.
Corporate Loans	SL	An option is provided in the system if the user wants to change the stages manually.
Securities Bonds	SC	The stages for the bonds are decided based on the external factors and based on that a mechanism is provided in the system to classify their stages.

The above table shows the stage movement criteria for various T24 applications.

DPD Criteria – Applications AA Lending Deals.

For the applications AA Lending, the system is configured based on the DPD status to determine the status of the assets. These status are stored in the table EB.CASHFLOW in the field named 'Stage'. However if the user wants to change the status manually then this is allowed using the IFRS.DATA.CAPTURE application with an Operation named 'Stage Change'.

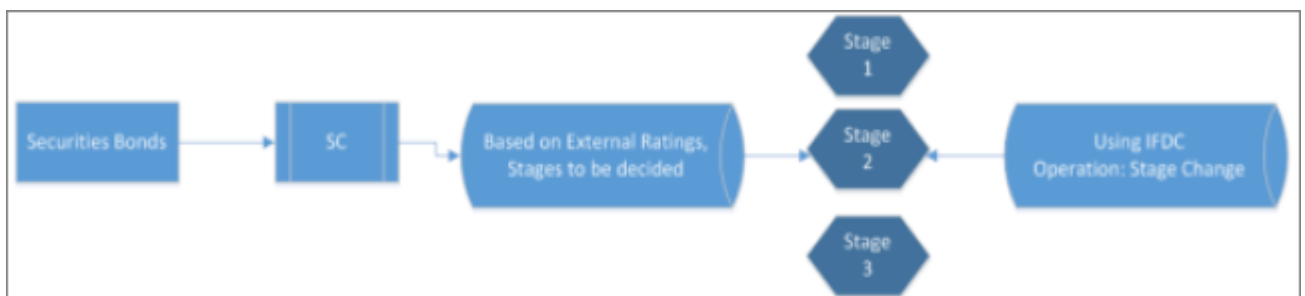


The above flowchart showing the stage change process for applications AA Lending.

External Rating approach – Applications SC

For the application SC the stages are updated manually based on the Rating of the Security or Issuer.

Status has be to manually changed using the IFRS.DATA.CAPTURE application with an Operation named 'Stage Change'.



The above flowchart shows the stage change process for SC application.

The fields, PD.VAL.FMT and LGD.VAL.FMT can be set to either as a Number or Percentage. Depending on the format set here, the fields Probability of Default and Loss given default should be set at Contract, Customer or Product level respectively.

If the field PD.VAL.FMT is set as Percentage, then only percentage values should be given for PD. The same way, while the field is chosen as Number, the PD value should be given as a number instead of percentage.

IFRS.PARAMETER GB-001-0001 (Model Bank 201706)	
Pd Val Fmt	☐ [None] ☐ Number ☒ Percentage
Lgd Val Fmt	☐ [None] ☐ Number ☒ Percentage

Example :

PD.VAL.FMT & LGD.VAL.FMT	LGD	PD
Percentage	50%	0.10%
Value	0.20	0.03

The above picture shows the LGD and PD given in percentage in IFRS.PARAMETER table.

4.2.6 IAS.CLASSIFICATION:

IFRS 9 requires a strict classification of financial assets and liabilities according to their purpose. This classification is extremely important as it defines various accounting and measurement rules to be applied. The table IAS.CLASSIFICATION is used to describe the business model. The following records are configured in T24:

The screenshots show the configuration of the IAS.CLASSIFICATION table in T24. Each record is associated with a 'Tourism Dev Fund Lead'.

Record 1: AMC (Amortised Cost)

Field	Value
GB Description	Amortised Cost
Curr No	3
Inputter.1	97975_MMAJID.02__OFS_BUILD.CONTROLO
Date Time.1	20 MAY 21 06:45 20 MAY 21 06:45
Authoriser	97975_MMAJID.02__OFS_BUILD.CONTROLO
Co Code	SA-001-0001 Tourism Dev Fund DEV
Dept Code	1 Implementation

Record 2: FVOCI (Fair Value Through Other Comprehensive Income)

Field	Value
GB Description	Fair Value Through Other Comprehensive
Curr No	3
Inputter.1	97975_MMAJID.02__OFS_BUILD.CONTROLO
Date Time.1	20 MAY 21 06:45 20 MAY 21 06:45
Authoriser	97975_MMAJID.02__OFS_BUILD.CONTROLO
Co Code	SA-001-0001 Tourism Dev Fund DEV
Dept Code	1 Implementation

Record 3: FVPL (Fair Value Through Profit & Loss)

Field	Value
GB Description	Fair Value Through Profit & Loss
Curr No	3
Inputter.1	97975_MMAJID.02__OFS_BUILD.CONTROLO
Date Time.1	20 MAY 21 06:45 20 MAY 21 06:45
Authoriser	97975_MMAJID.02__OFS_BUILD.CONTROLO
Co Code	SA-001-0001 Tourism Dev Fund DEV
Dept Code	1 Implementation

The above screenshots shows various business models classified using the IAS.CLASSIFICATION table.

4.2.7 IFRS.ACCT.METHODS:

IFRS.ACCT.METHODS stores the accounting methods to be applied for different kinds of contracts based on the classification of the assets and liabilities. This is kept as a separate table so that the users can do the setup based on their requirements.

IFRS.ACCT.METHODS AMC (Tourism Dev Fund Lead)	
GB Descrit.1	Amortised Cost
Acct Head Type.1	Amortised
Npv Method.1	Yes
Npv Rate.1	Eir
Posting Req.1	Yes
Acct Head Type.2	Disclosure
Npv Method.2	Yes
Npv Rate.2	Market
Posting Req.2	No
Acct Head Type.3	Impair.amortised
Npv Method.3	Yes
Npv Rate.3	Eir
Posting Req.3	Yes
Acct Head Type.4	Impair.amc.adjust
Npv Method.4	Yes
Npv Rate.4	Eir
Posting Req.4	Yes
Acct Head Type.5	Unwind
Npv Method.5	Yes
Npv Rate.5	Eir
Posting Req.5	Yes
Acct Head Type.6	Impair.interest
Npv Method.6	Yes
Npv Rate.6	Eir
Posting Req.6	Yes
Impair Int Bal Type	IMPAIRINTEREST IMPAIR INTEREST
Curr No	3

The above picture shows IFRS.ACCT.METHODS for AMC Accounting Head

Acct.Head.Type forms part of a multi-value set to specify the account head types, which can be FAIRVALUE, AMORTISED, DISCLOSURE, etc.

NPV.METHOD forms part of a multi-value set to specify if the Net Present Value (NPV) calculation is required based on the IAS.CLASSIFICATION and the accounting method specified. If NPV calculation is not required, an option to include an external routine to calculate the amount is given through the field CALC.RTN.

NPV.RATE forms part of a multi-value set to specify the rate type applicable to the calculation, which can be an EIR rate or a MARKET rate. This field can be input only if the specified NPV.METHOD is set to YES.

POSTING.REQD forms part of a multi-value set, to give an option to the bank whether the values need to be only calculated or posted as well. This is possibly applicable to methods like DISCLOSURE.

Example: All the contracts stated at Amortized Cost need to be valued at a market rate on the reporting date for the disclosure purpose in order to state them at fair value. The fair value amount so calculated is not required to be posted but is only supposed to be disclosed.

The field ADJUST.ENTRY forms part of a multi-value set to indicate whether the entry to be posted is an adjustment to what has already been posted on the contract.

IFRS.ACCT.METHODS FVPL (Tourism Dev Fund Lead)	
GB Descrip.1	Fair Value through Profit Loss
Acct Head Type.1	Fairvalue
Npv Method.1	Yes
Npv Rate.1	Market
Posting Req.1	Yes
Curr No	3
Inputter.1	97975_MMAJID.02__OFS_BUILD.CONTROLO
Date Time.1	20 MAY 21 06:45 20 MAY 21 06:45
Authoriser	97975_MMAJID.02__OFS_BUILD.CONTROLO
Co Code	SA-002-1001 Tourism Dev Fund Lead
Dept Code	1 Implementation

The above picture shows IFRS.ACCT.METHODS for FVPL Accounting Head

Provision for Balance types / Asset types to be excluded from T24 Balance

The field BAL.TO.EXLD in IFRS.ACCT.METHODS can be used to define the Balance/Asset types to be excluded from T24 balances. This functionality is available only for AC.BALANCE.TYPE records with REPORTING.TYPE set to VIRTUAL.

AC.BALANCE.TYPE NEWVIRBAL	
GB Description	Virtual bal for IFRS
Reporting Type	Virtual
Virtual Bal.1	ACCLOANINTEREST
Curr No	1

The AC.BALANCE.TYPE screenshot is shown above

In the following example, the accounting heads “AMORTISED”, “FAIRVALUE” and “DISCLOSURE” have the same AC.BALANCE.TYPE record NEWVIRBAL entered into the field BAL.TO.EXLD. All normal accounting heads uniformly follow a single T24 balance.

IFRS.ACCT.METHODS AA.MET	
GB Descrip.1	Method for AA contracts
Acct Head Type.1	Amortised
Npv Method.1	Yes
Npv Rate.1	Eir
Posting Req.1	Yes
BAL.TO.EXLD.1	NEWVIRBAL
	Virtual bal for IFRS
Acct Head Type.2	Fairvalue
Npv Method.2	Yes
Npv Rate.2	Market
Posting Req.2	Yes
Adjust Entry.2	Yes
BAL.TO.EXLD.2	NEWVIRBAL
	Virtual bal for IFRS
CURR.NO	1

The above screenshot showing the BAL.TO EXLD field in the IFRS.ACCT.METHODS table.

When the field BAL.TO.EXLD is populated for “AMORTISED” accounting head and left blank for “FAIRVALUE” or “DISCLOSURE”, the system defaults the BAL.TO.EXLD from AMORTISED to the other normal accounting heads. If any one of the normal accounting heads has the corresponding value in BAL.TO.EXLD, then the rest of the accounting heads should be defaulted if not input.

An error is displayed if a user inputs a different AC.BALANCE.TYPE record for AMORTISED, FAIRVALUE and DISCLOSURE.

The same logic applies to the impairment accounting heads - IMPAIR.AMORTISED, UNWIND, IMPAIR.AMC.ADJUST, AMORTISED.UNDER.IMP, AMORTISED.STAGE1, AMORTISED.STAGE2 IMPAIR.FAIRVALUE, IMPAIR.FV.ADJ.INC, IMPAIR.FV.ADJ.DEC, FAIR.VALUE.STAGE1, FAIR.VALUE.STAGE2 and has a common BAL.TO.EXLD value. Any value, which is different invokes error.

This table defines the rules on the business model. Id for the record can be any alpha-numeric free text. The fields ACCT.HEAD.TYPE, NPV.METHOD, NPV.RATE, POSTING.REQD, ADJUST.ENTRY, BAL.TO.EXLD and CALC.RTN Fields form a multi-value set.

By multi-valuing ACCT.HEAD.TYPE Field, different values can be defined for each business model– FAIR VALUE, AMORTISED, AMORTISED STAGE 1, AMORTISED stage 2, DISCLOSURE, IMPAIR AMORTISED, etc.

IFRS.ACCT.METHODS		AMCIFRS9 (Model Bar)
GB Descrit.1	Amortised Cost	
Acct Head Type.1	Amortised	
Npv Method.1	Yes	
Npv Rate.1	Eir	
Posting Req'd.1	Yes	
Acct Head Type.2	Amortised-stage1	
Npv Method.2	Yes	
Npv Rate.2	Eir	
Posting Req'd.2	Yes	
Acct Head Type.3	Amortised-stage2	
Npv Method.3	Yes	
Npv Rate.3	Eir	
Posting Req'd.3	Yes	
Acct Head Type.4	Disclosure	
Npv Method.4	Yes	
Npv Rate.4	Market	
Posting Req'd.4	No	
Acct Head Type.5	Impair Amortised	
Npv Method.5	Yes	
Npv Rate.5	Eir	
Posting Req'd.5	Yes	
Acct Head Type.6	Impair Amc Adjust	
Npv Method.6	Yes	
Npv Rate.6	Eir	
Posting Req'd.6	Yes	
Acct Head Type.7	Unwind	
Npv Method.7	Yes	
Npv Rate.7	Eir	
Posting Req'd.7	Yes	
Curr No	1	
Inputter.1	7 INPUTTER_OFS_BROWSERTC	
Date Time.1	16 JUN 17 15:15	
Authoriser	7 AUTHORISER_OFS_BROWSERTC	
Co Code	GB-001-0001	
Dept Code	1	

The above screenshot shows the detailed Account head types under Amortized Cost in the table IFRS.ACCT.METHODS.

If NPV (Net Present Value) method as per IAS.CLASSIFICATION is required then NPV.METHOD Field needs to be set to Yes. If not required, then an external routine can be attached in CALC.RTN Field. Input of either of these two fields is mandatory. If NPV.METHOD is set to Yes then NPV.RATE Field is required to be input. EIR or MARKET method can be opted. Values calculated as per NPV.RATE if required to be posted, then POSTING.REQD Field is set to Yes. Whether the entry to be posted will be an adjustment to what has already been posted on the contract is indicated using ADJUST.ENTRY with Yes or Null.

4.2.8 IFRS.POSTING.DETAILS:

IFRS.POSTING.DETAILS stores the details relating to the way the accounting entries are generated in order to make the contracts compatible with IFRS9 requirements.

IFRS.POSTING.DETAILS		AMCIFRS9ADJ (Mod)
GB Desc.1	AMC IFRS 9 ADJ.	
Position Type	IF	
Posting Style	Adjust	
Acct Head Type.1	Amortised	
Acct Type.1	Noncontingent	
Entry Type.1.1	Both	
Entry Target.1.1	PI	
Cat Type.1.1	51055	
In Txn Code.1.1	481	
Rev Txn Code.1.1	482	
Contra Ent Tgrt.1.1	CrF	
Contra Cat Type.1.1	51055	
Contra Txn.1.1	IFA	
Contra Rev Txn.1.1	IFR	
PI This Mth Cat.1.1	51055	
PI Prev Mth Cat.1.1	51055	
PI Yr Entry Cat.1.1	51057	
Acct Head Type.2	Amortised-stage1	
Acct Type.2	Noncontingent	
Entry Type.2.1	Both	
Entry Target.2.1	PI	
Cat Type.2.1	51157	
In Txn Code.2.1	874	
Rev Txn Code.2.1	875	
Contra Ent Tgrt.2.1	CrF	
Contra Cat Type.2.1	51157	
Contra Txn.2.1	IFA	
Contra Rev Txn.2.1	IFR	
PI This Mth Cat.2.1	51157	
Acct Head Type.3	Amortised-stage2	
Acct Type.3	Noncontingent	
Entry Type.3.1	Both	
Entry Target.3.1	PI	
Cat Type.3.1	51158	
In Txn Code.3.1	876	
Rev Txn Code.3.1	877	
Contra Ent Tgrt.3.1	CrF	
Contra Cat Type.3.1	51158	
Contra Txn.3.1	IFA	
Contra Rev Txn.3.1	IFR	
PI This Mth Cat.3.1	51158	
PI Prev Mth Cat.3.1	51158	
PI Yr Entry Cat.3.1	51158	
Acct Head Type.4	Disclosure	
Acct Type.4	Contingent	
Entry Type.4.1	Both	
Entry Target.4.1	CrF	
Cat Type.4.1	DISCLOSURE	
In Txn Code.4.1	IFA	
Rev Txn Code.4.1	IFR	
PI This Mth Cat.4.1	51062	
PI Prev Mth Cat.4.1	51062	
PI Yr Entry Cat.4.1	51063	

The above screenshot shows the IFRS.POSTING.DETAILS table having the details of the accounting entries to be generated

The above screenshot shows the IFRS.POSTING.DETAILS being setup for an AMC business model.

Apart from the basic fields, which will set the PL categories and the transaction codes, this table allows a variety of settings that can be tailored to suit the individual requirements of the bank for each set of assets.

If we consider the broad concept of the settings it would be split into the following categories

Posting Style	I.O (reverse & re-book) or ADJUST (adds/subtracts to existing amounts) and applies to all the Asset Name sub-sets
Asset Name(s)	The asset name(s) the record relates to Amortised, Disclosure and Fairvalue
Account Type	Contingent or Non-Contingent
Entry Type	Profit only, Loss only or both (for Amortised only both)
Entry Target	ACCOUNT, PL or CRF (internal account, CATEG.ENTRY or RE.CONSOLE.SPEC.ENTRY)
Contra Entry Target	ACCOUNT or CRF (internal account or RE.CONSOLE.SPEC.ENTRY)

This is kept as a separate table so that the user can do the setup based on their specific requirements.

Setup to meet basic IFRS Requirements

IFRS.POSTING.DETAILS is the next important table to define the way in which IFRS compliant accounting entries are generated. Users can do the set up based on their requirement. Id of the records is free text to link to the contracts at IAS.CLASSIFICATION or IFRS.SUBTYPE level. POSITION.TYPE Field is updated with value "IF" on validation of a record. User input not allowed for the field POSITION.TYPE. Posting style to be adopted for change in valuations is indicated in POSTING.STYLE Field.

Accepted values "IO" or "ADJUST". Acct Head type as defined in IFRS.ACCT.METHODS and the base for which posting to be effected are indicated in ACCT.HEAD.TYPE and ACCT.TYPE Fields. Methods like FAIRVALUE, AMORTISED, DISCLOSURE etc.

Type being CONTINGENT or NON-CONTINGENT. Different entries raised result in profit or loss. The accounts or categories to which these are accounted for are recorded in ENTRY.TYPE and ENTRY.TARGET Fields. Profit, Loss and Both – options in the field ENTRY.TYPE. ACCOUNT, PL and CRF – options for ENTRY.TARGET. Category and transaction codes are to be defined for every Acct head type.

IFRS 9 Accounting Heads:

Business understanding on various Accounting Heads available in T24 under IFRS9:

AMORTISED

Under this accounting head, user will define the Category and the Entry Type (P&L, Account, CRF) where the accounting entries will be posted as a delta for the difference between the T24 Book Value and the Amortised Cost (NPV of contractual cash flow discounted at EIR)

AMORTISED-STAGE1

This is used for IFRS9 accounting entries for Expected Credit loss of contracts under Stage1 (12 mths ECL)

AMORTISED-STAGE2

This is used for IFRS9 for the accounting entries for Expected Credit loss for contracts under Stage2 (12mths+Lifetime ECL)

DISCLOSURE

This is used for the Fair Value of the contracts (NPV @Market Rate) that are measured under Amortised cost (It is an off Balance Sheet item)

IMPAIR AMORTISED

This is for the Impairment accounting for individual impairment under Stage 3 ECL.

IMPAIR AMC ADJUST

This is to book any adjustment to impairment as a result of an unexpected change in the recoverable value for contracts measured at Amortized Cost

UNWIND

This is to book the offsetting delta posted under AMORTISED, when the contract is impaired and impairment booked under IMPAIR.AMORTISED

FAIRVALUE

This is to book the delta between T24 Book Value the contract measured at Fair Value (at market Rate for Non-interest bearing, NPV@Market for interest bearing)

IMPAIR FAIRVALUE

This is to book the impairment for contracts measured at Fair Value (for Stage3).

IMPAIR.FV.ADJ.DEC

This to book any subsequent loss in Equity as a result of a decrease in Fair Value after an impairment loss has been booked. (For Non-interest bearing contracts).

IMPAIR.FV.ADJ.INC

This to book any subsequent increase in Equity as a result of an increase in Fair Value after an impairment loss has been booked. (For Non-interest bearing contracts).

Under IA module, posting details are defined in IAS.PRODUCT.GROUP:

IAS.PRODUCT.GROUP NOSTROBAL (Tourism Dev Fund Lead)		
GB Description	NOSTROBAL	
Amount Type.1	WORKING.BALANCE	WORKING BALANCE FOR BANKS
Amount Type.2	L.TDF.PD1	L.TDF.PD1
Amount Type.3	L.TDF.LGD	L.TDF.LGD
Amount Type.4	WORK.AMT	WORKING AMOUNT FOR BANK
Reval Acctng.4	Y	
Posting Style.4	I.o	
Prft Cat Inter.4	50050	ECL ON BALANCES WITH BANKS
Prft Crf Cat.4	50050	
Prft Txn Cd Cr.4	116	
Prft Txn Cd Dr.4	166	
Loss Cat Inter.4	50050	ECL ON BALANCES WITH BANKS
Loss Crf Cat.4	50050	
Loss Txn Cd Cr.4	116	
Loss Txn Cd Db.4	166	
Position Type.4	IF	INTERNATIONAL FINANCIAL ACCOUNTING

4.2.9 IFRS.SUB.TYPE:

IFRS.SUB.TYPE is the table with the details relating to the amendments to the cash flows and EIR (if any). Each record connects the details from the IFRS.ACCT.METHODS and IFRS.POSTING.DETAILS settings and, just as importantly, is the record, which is linked to the underlying deals/contracts.

IFRS.SUB.TYPE AMCIFRS9ADJ (Model Bank 201706)	
GB Descrit.1	AMCIFRS ADJ
Accounting Method	AMCIFRS9
Posting Details	AMCIFRS9ADJ
Def Recalc Method	☒ Carry.cost ☐ Eir
Event Type.1	
Recalc Method.1	
Term	
Record Status	
Curr No	1
Inputter.1	7_INPUTTER_OFS_BROWSERTC
Date Time.1	16 JUN 17 17:23
Authoriser	7_AUTHORISER_OFS_BROWSERTC
Co Code	GB0010001
Dept Code	1

Above is an example IFRS.SUB.TYPE for Amortized Cost.

When a contract is created and the IFRS9 parameters are defined, the cash flow details are passed to the Cash flow engine, which will calculate the EIR (Effective Interest Rate) and update the EB.CASHFLOW with the cash flow and EIR details during End-Of-Day process.

In this table, IFRS.SUB.TYPE, it is possible to define whether the:

- FULL contractual life is to be used for the calculation of EIR.
- SHORT term is used. (This applies for contract under a floating rate, with a periodic interest rate change).
- EXPECTED life of the contract (for AA contracts only).

These can be defined in the field 'TERM' in the application IFRS.SUB.TYPE.

The difference between the SHORT and EXPECTED is that with Short, after the end of the period, the interest rate fixing will generate another cash flow for the next rate fixing period and recalculate the EIR whereas with the option of 'Expected' life of the contract, after the end of the period the system stops IFRS9 processing.

4.2.10 IFRS.ACCRUAL.PARAM:

One of the pivotal tables in IFRS, since the absence of any records on it effectively means that IFRS9 accounting does not happen. Each IFRS.SUB.TYPE must have its own frequency setting, and where required, the DISCLOSURE part of a sub-type can have its own unique setting to override its parent sub-type.

IFRS.ACCRUAL.PARAM SA-002-0001 (Tourism Dev Fund Lead)	
GB Descr.1	Frequency for Sub Types
Ifrs Sub Type.1	AMCIFRS9IO
Acct Freq.1	30 APR 2021 M0101 30 APR 2021 Monthly on day 1
Ifrs Sub Type.2	FVOCIIFRS9IO
Acct Freq.2	30 APR 2021 M0101 30 APR 2021 Monthly on day 1
Ifrs Sub Type.3	SCEIR
Acct Freq.3	30 APR 2021 M0101 30 APR 2021 Monthly on day 1

The above screenshot shows the IFRS.ACCRUAL.PARAM having its corresponding frequency set.

4.2.11 IFRS.EVENT.TYPE:

IFRS.EVENT.TYPE table stores various events that can occur over the life of a contract, which can amend the cash flows pertaining to it.

The screenshot shows a software interface for the IFRS.EVENT.TYPE table. At the top, there is a toolbar with icons for save, undo, redo, delete, and other actions. Below the toolbar, the table name 'IFRS.EVENT.TYPE' is displayed, followed by a text input field containing the value 'REDEEM'. Underneath, there is a section labeled 'GB Desc.1' with a text input field containing 'Redeem event'. At the bottom, there is a blue bar with a back arrow and a search icon.

The above screenshot shows a record in IFRS.EVENT.TYPE table.

IFRS.EVENT.TYPE - Default List	
Id	Desc
CHARGES	Change due to Charges
COMMISSION-CHANGE	Change related to Commission
INTEREST-CHANGE	Change in Interest Event
MAT.DATE-CHANGE	Maturity change event
NEW-CONTRACT	New Contract
ONLINE-REPAYMENT	Change due to Online Repayment
PRINCIPAL-CHANGE	Change in Principal Amt Event
RATE-CHANGE	Change in the rate of the contract
REDEEM	Redeem event
REPAYMENT	Repayment event
ROLLOVER	Rollover event
SCHEDULE-CHANGE	Change in the Schedule
TAX-CHANGE	Change due to Tax

The above screenshot shows the list of records in IFRS.EVENT.TYPE.

4.2.12 PV.ASSET.DETAIL:

The Provision Asset Detail application (PV.ASSET.DETAIL) holds current and historical details pertaining to the automatic Classification and Provisioning of an Asset.

The User is also able to manually override the auto classification or a Provision Amount for that contract (except for IFRS9).

PV.ASSET.DETAIL is updated during online authorization of a record and also during COB processing. Initial creation of the PV.ASSET.DETAIL record occurs when the Classification details are passed during the execution of COB.

The Contract Id passed is also the key to the EB.CONTRACT.BALANCES record.

Any PV.ASSET.DETAIL record is updated with the Product. For records emanating from an AA contract both PRODUCT.GROUP and PRODUCT.LINE are updated. For other contracts the CATEGORY is updated instead.

PV.ASSET.DETAIL 2000001603 (Tourism Dev Fund Lead)

Product	AC
Currency	SAR Saudi Riyal
Product Line	LENDING Lending
Customer	100200
Management Id	AA.LOANS IFRS09 PROVISIONING
Profile Id	IFRS
Last Class Date	22 APR 2021 22 APR 2021
Auto Class	STAGE-1 1
Pr Class Dte.1	21 APR 2021 21 APR 2021
Pr Auto Class.1	STAGE-1 1
Pr Mgmt.1	AA.LOANS IFRS09 PROVISIONING
Pr Profile.1	IFRS
Pr Class Dte.2	20 APR 2021 20 APR 2021
Pr Auto Class.2	STAGE-1 1
Pr Mgmt.2	AA.LOANS IFRS09 PROVISIONING
Pr Profile.2	IFRS
Pr Class Dte.3	19 APR 2021 19 APR 2021
Pr Auto Class.3	STAGE-1 1
Pr Mgmt.3	AA.LOANS IFRS09 PROVISIONING
Pr Profile.3	IFRS
Pr Class Dte.4	18 APR 2021 18 APR 2021
Pr Auto Class.4	STAGE-1 1
Pr Mgmt.4	AA.LOANS IFRS09 PROVISIONING
Pr Profile.4	IFRS
Pr Class Dte.5	15 APR 2021 15 APR 2021
Pr Auto Class.5	STAGE-1 1
Pr Mgmt.5	AA.LOANS IFRS09 PROVISIONING
Pr Profile.5	IFRS
Pr Class Dte.6	14 APR 2021 14 APR 2021
Pr Auto Class.6	STAGE-1 1
Pr Mgmt.6	AA.LOANS IFRS09 PROVISIONING
Pr Profile.6	IFRS

Identifiers for related PV.MANAGEMENT and PV.PROFILE records are also updated here together with Classification details.

The MANUAL.CLASS field must contain the Id of a valid PV.LOAN.CLASSIFICATION record (not applicable for IFRS9).

An example of manual input to PV.ASSET.DETAIL is shown below:

PV.ASSET.DETAIL 76368 (Model Bank)

Last Class Date	16 APR 2020	16 APR 2020
Auto Class	WATCHLIST	20
Manual Class		
Reason		

Calc Prov Amt Lcy.1
Man Prov Amt.1

Input to MANUAL.CLASS, REASON, and the MAN.PROV.AMT fields.

4.3 Calculation and Measurement:

4.3.1 EIR Calculation:

The Effective Interest Rate (EIR) method calculates the amortized cost of a financial asset or a financial liability, and allocates the interest income or interest expense over the relevant period.

The EIR is used to bring the contractual cash flows to its Net Present Value (NPV) and the difference of the both i.e. (Contractual Cash Flows – NPV of Contractual Cash Flows) is treated as amortized cost.

An additional feature to compute the daily amortization cost using the Effective Interest rate as the method.

In order to compute the daily amortization cost, the following data are needed:

- Daily NPV (Net Present Value) – This computes the present value of the future cash flows.
- Interest Accrual – The daily interest accrued on the face value of the bond.
- Book Cost – The summation of Daily NPV and daily interest Accrued.

The Daily Amortization Cost = Daily NPV – Book Cost.

The Net Amortized Cost = Summation of Daily Amortized Cost.

EIR	8.39%			Amortised
Period	Principal	Interest	Net Cash Flow	Cost
12/23/2009	(99,447.70)	(1,397.26)	(100,844.96)	(100,867.23)
12/24/2009	-		-	(100,889.50)
12/25/2009	-		-	(100,911.78)
12/26/2009	-		-	(100,934.07)
12/27/2009	-		-	(100,956.35)
12/28/2009	-		-	(100,978.65)
12/29/2009	-	1,495.89	1,495.89	(99,504.73)
12/30/2009	-		-	(99,526.70)
12/31/2009	-		-	(99,548.68)
1/1/2010	-		-	(99,570.66)
3/21/2010	-		-	(101,322.73)
3/22/2010	-		-	(101,345.10)
3/23/2010	-		-	(101,367.48)
3/24/2010	-		-	(101,389.86)
3/25/2010	-		-	(101,412.25)
3/26/2010	-		-	(101,434.65)
3/27/2010	-		-	(101,457.05)
3/28/2010	-		-	(101,479.45)
3/29/2010	100,000.00	1,479.45	101,479.45	

The above picture shows an example with EIR value and Amortized cost.

4.3.2 Expected Credit Loss (ECL) Measurement:

ECL is measured either through 12 month ECL method or through Lifetime ECL:

- 12 Month Expected Credit Losses: Portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial instrument that are possible within the 12 months, after the reporting date
- Life time Expected Credit Losses: Credit losses are an expected present value measure of losses that arise if a borrower defaults on their obligation throughout the life of the financial instrument.

Examples for each of the business model:

4.3.3 AMC Business Model:

A loan contract for 2 years is created. For the said loan contract, Loan Amount: USD 50,000, Interest Rate – 5%, Product: Mortgage are defined.

AMC business model (Adjustment type) has been defined for the loan contract under IAS Classification.

Product Conditions - Reporting MORTGAGE.LOAN.REPORTING--

GB Description IFRS related setup.

IFRS Details Position Management Annual Percentage Rate

IFRS Classification AMC IFRS Subtype AMCIFRSADJ

76465 USD - Mortgage Overview

New Activity

Arrangement AA20079SVVG2

Account 76465 - USD

Product Mortgage

Arrangement Date 19 MAR 2020

Beneficial Owner Gloria Savage

Status Current

Links to other Arrangements

AA20079QCIW9J Current Account

Pay-Out Account

Arrangement Conditions

Basic Additional

View Arrangement

Account Static

Title Mortgage Loan

Commitment

Amount 50,000.00 Term 2Y

APR Details

Rate 6.30507% Type APR (With Internal Charge only) Source Cashflow

Rate 11.5341% Type APR (Includes all charge) Source Cashflow

Penalty Interest

Single Rate Variable 5% (Loan Base Rate + 3.50%)

Principal Interest

Single Rate Periodic 5% (USD Discr Rates + 0.50%)

Schedule

Disburse Percentage Account 100% Payment On the Start Date

Constant Repayment Account 505.16 Due Weekly on Mon

External Chrgs Principal Interest

External Chrgs Solicitor Fee Due Daily

External Chrgs Mortgage Insurance Fee Due Monthly

Account Details

Summary Interest

Financial Summary

Overdue Status: Delinquent.

Commitment Balances

Commitment (Total) 50,000.00

Commitment Utilised(UTL) 50,000.00

Loan Balances

Total Principal 50,000.00

Total Amount Due 2,527.78

Total Delinquent Balance 1,515.48

Principal Interest (Accrued) 26.63

Penalty Interest (Accrued) 7.14

Account Dates

Start Date 19 MAR 2020

Effective Date 19 MAR 2020

Next Payment 19 APR 2020

Maturity Date 19 MAR 2022

matures in 1 Years 11 Months 2 Days

Request Payoff

Request Payment Holidays

Additional Details

Activity Bills Charges Messages Correspondence Schedule Overdue Sims Payment Orders Evalu

Results 1 - 11 of 105

Payment Schedule

Date	Total Due	Total Cap	Principal	Interest	Charge	Tax	Total Pymt	Outstanding
19 MAR 2020	500.00	0.00	50,000.00		500.00		50,000.00	-50,000.00
23 MAR 2020	505.16	0.00	477.76	30.81			-49,522.24	
30 MAR 2020	505.16	0.00	457.67	49.82			-49,064.57	
06 APR 2020	505.16	0.00	438.11	48.45			-48,606.46	
13 APR 2020	505.16	0.00	418.55	46.61			-48,147.91	
20 APR 2020	505.16	0.00	398.55	46.61	0.00		-47,689.36	
27 APR 2020	505.16	0.00	378.99	46.17	0.00		-47,230.37	
04 MAY 2020	505.16	0.00	359.43	45.73	0.00		-46,770.94	
11 MAY 2020	505.16	0.00	339.87	45.29	0.00		-46,311.07	
18 MAY 2020	505.16	0.00	320.31	44.85	0.00		-45,850.76	
25 MAY 2020	505.16	0.00	300.75	44.41	0.00		-45,390.01	

You can view EB.CASHFLOW to understand which stage the contract is in along with IFRS.ACCT.BALANCES AND IFRS.ACCOUNTING.DETAILS.

EB.CASHFLOW 76465 (Model Bank)

Customer Id 190106 Gloria Savage

las Classification AMC Amortised Cost

las Sub Type AMCIFRSADJ

Accounting Method AMC-IFRS9

Asset Liab Ind A

Currency USD US Dollar

Interest Basis E 366/365

Market Key 10

Market Margin 0.50

Margin Operand +

Contract Rate 5.00

Value Date 19 MAR 2020 19 MAR 2020

Maturity Date 19 MAR 2022 19 MAR 2022

Accrual Method FIRST-DAY

Cash Flow Date.1 19 MAR 2020 19 MAR 2020

Cash Flow Type.1 PRINCIPAL-ACCOUNT

Cash Flow Amt.1 -50,000

EB.CASHFLOW 76465 (Model Bank)

Exclude Option.469 EIR

Cash Flow Date.470 14 MAR 2022 14 MAR 2022

Cash Flow Type.470 INTEREST-PRINCIPALINT

Cash Flow Amt.470 0.97

Exclude Option.470 EIR

Cash Flow Date.471 19 MAR 2022 19 MAR 2022

Cash Flow Type.471 CHARGE-MORTGINSURANCE

Cash Flow Amt.471 100.00

Exld From Eir.471.1 APR.INTERNAL

Cash Flow Date.472 19 MAR 2022 19 MAR 2022

Cash Flow Type.472 CHARGE-MORTGINSURANCE

Cash Flow Amt.472 100.00

Exld From Eir.472.1 APR.INTERNAL

Exclude Option.472 EIR

Posting Details Id AMC-IFRS9ADJ IF

Eir Req Y

Amendment Date 16 APR 2020 16 APR 2020

Event Type.1 INTEREST-CHANGE Change in Interest Event

Recalc Logic Carry.cost

Eir 11.4398352579793

Recalc Completed YES

Product Category 3103

Stage 2

IFRS.ACCT.BALANCES 76465 (Model Bank)

Acct Head Type.1	AMORTISED-NEWARRFEE
Balance.1	-79.33
Last Calc Date.1	16 APR 2020 16 APR 2020
Last Calc Amt.1	-44.17
Acct Head Type.2	DISCLOSURE
Balance.2	-48,150.55
Last Calc Date.2	16 APR 2020 16 APR 2020
Last Calc Amt.2	-51.3
Acct Head Type.3	AMORTISED-STAGE1
Balance.3	5
Last Calc Date.3	27 MAR 2020 27 MAR 2020
Last Calc Amt.3	-5
Acct Head Type.4	AMORTISED-STAGE2
Balance.4	35.21
Last Calc Date.4	16 APR 2020 16 APR 2020
Last Calc Amt.4	0.03
Contract Balance	-47,701.54
Npv Con Cf Amort	-47,825.04
Npv Exp Cf Amort	-50,310.44
Prob Of Deft	0.70
Loss Given Deft	10.00
Ecl	35.24
Ifrs9 Contract Bal	-50,310.44
Stage	2
Overdue Balances	-2,520.64

IFRS.ACCOUNTING.DETAILS 76465-20200416 (Model Bank)

Acct Head Type.1	AMORTISED-NEWARRFEE
Ifrs Balance.1	-123.5
Acct Head Type.2	DISCLOSURE
Ifrs Balance.2	-48,201.85
Acct Head Type.3	AMORTISED-STAGE1
Ifrs Balance.3	0
Acct Head Type.4	AMORTISED-STAGE2
Ifrs Balance.4	35.24
Contract Balance	-47,701.54
Npv Con Cf Amort	-47,825.04
Npv Exp Cf Amort	-50,310.44
Cashflow Version	2
Curr Num	2
Period Date.1	16 APR 2020 16 APR 2020
I9act Head Type.1	AMORTISED-STAGE2
Prob Of Deft.1	0.70
Loss Given Deft.1	10.00
I9npv Con Cf Amort.1	-47,825.04
I9npv Exp Cf Amort.1	-50,310.44
Ecl.1	35.24
Stage.1	2

Contract wise Balances

Contract	CCY	Balance Type	Mat Date	Open Balance	Credit Mvmt	Debit Mvmt	Closing Balance
76465	USD	TOTCOMMITMENT	NONE	-50,000.00			-50,000.00
		TOTCOMMITMENTBL	NONE	50,000.00			50,000.00
		DUENEWARRFEE	NONE	-500.00			-500.00
		ACCNEWARRFEE	NONE	480.14			480.14
		UTLCOMMITMENT	NONE	-50,000.00			-50,000.00
		UTLCOMMITMENTBL	NONE	50,000.00			50,000.00
		CURACCOUNT	NONE	-48,147.91			-48,147.91
		DUEPRINCIPALINT	NONE	-46.61			-46.61
		DUEACCOUNT	NONE	-458.55			-458.55
		ACCPRINCIPALINT	NONE	-26.63			-26.63
		IF*51055	NONE	-123.50			-123.50
		DELPRINCIPALINT	NONE	-121.94			-121.94
		DELACCOUNT	NONE	-1,393.54			-1,393.54
		ACCPENALTYINT	NONE	-7.14			-7.14
		IF*51058	NONE	35.24			35.24

Note the ECL calculations and stage movements after running COB. These details are found in IFRS.ACCT.BALANCES.

When PD,LGD values are defined at contract, customer and product levels, the system uses the appropriate PD,LGD values in the following order :

- API defined in the IFRS.PARAMETER, else
- PD/LGD defined in PV.ASSET.DETAIL, else
- PD/LGD defined in PV.CUSTOMER.DETAIL, else
- PD/LGD defined in PV.PROFILE at the Product Level

4.3.4 FVOCI Business Model:

A contract is used for the FVOCI business model.

LD. LOANS AND DEPOSITS LD/16113/12475		LD. LOANS AND DEPOSITS LD/16113/12475 (Model)		LD. LOANS AND DEPOSITS LD/16113/12475 (Model Bank 201706)	
Customer Id	12345	Int Liq Acct	83461	Activity 2	2010
Currency	USD	Com Liq Acct	83461	Adv Sent. 2	D20170622527101439508
Currency Market	1	Chrg Liq Acct	83461	Send Payment	No
Amount. 1	100,000.00	Mis Acct Officer	2002	Send Confirmation	Y
Bus Day Defn. 1	US	Federal Funds	No	Return Com	Yes
Value Date	22 APR 2016	Clean Risk	No	Yield Method	No
Fin Mat Date	22 APR 2018	Agreement Date	22 APR 2016	Settlement Market	1
Limit Reference	8110.01	Country Risk	GB	Conversion Type	Mid
Category	21-050	Country Exposure	GB	Last Day Accrual	No
Drawdown Account	83461	Status Control	Automatic	Defaulted Value	No
Int Rate Type	1	Status	Cur	Dealer Desk	00
Interest Basis	E	Drawdown Issue Prc	100,000.00	Negative Rate	No
Int Paymt Method	1	Drawdown Net Amt	100,000.00	Fwd Prct	5
Limit Rate. 1	10.00	Issue Pl Amount	0	Iss Classification	FVOCI
Capitalisation	No	Issue Price	100.00	Iss Subtype	FVOCIIFRS9ADJ
Tot Interest Amt	219.18	Issue Accrual	No	Market Key	10
Liquidation Code	1	Reimburse Price	100.00	Stmnt No. 1	180715271014395.06
Comm Calc Method	E	Reimburse Amount	100,000.00	Stmnt No. 3	1
Comm Paymt Method	2	Reimburse Accrual	No	Override. 1	FIN MAT DATE IS NOT A WORKING DAY
Comm Rate. 1	1.00	Fee Pay Account	83461	Override. 2	NO LINE ALLOCATED
Total Comm Amount	2,000.00	Drawdown Ent Date	22 APR 2016	Curr No	1
Liquidation Mode	AUTOMATIC	Auto Scheds	No	Inputter. 1	21_INPUTTER_OFS_BROWSERTC
Position Type	TR	Define Scheds	Yes	Date Time. 1	22 JUN 17 12:23
Reduced Rate	Normal	Contract Type	Amort	Authoriser	21_AUTHORISER_OFS_BROWSERTC_LD1611312475
Delivery Link	1	Activity. 1	1010	Co Code	GB-001-0001
Prin Liq Acct	83461	Adv Sent. 1	D20170622527101439507	Dept Code	1

LD SCHEDULE DEFINE - AUTH LD/16113/12475 USD 100,000.00, 22 APR 2016, 22 APR 2018, INTEREST BEARING, LoansIntBear.						
2 FORWARD.BACKWARD KEY: 5		CALENDAR		3 BASE DATE KEY: 1 BASE DATE		
SCH	DATE	AMOUNT	RATE	CHRG NO.	FREQ	DIARY ACTION
P	22 APR 2018	100,000.00				
I	30 APR 2016				ML	
**** Overrides ****						
30/04/2016 IS NOT A WORKING DAY						

The screen shown above for the contract along with the repayment schedule.

The EB.CASHFLOW screen for the contract in FVOCI is shown below. The different cash flows on their corresponding dates are updated in the EB.CASHFLOW application. The EIR is also updated.

EB.CASHFLOW LD1611312475 (Model Bank)			Cash Flow Date.7			Cash Flow Date.19		
Customer Id	12345		Cash Flow Date.7	30 SEP 2016		Cash Flow Date.19	30 SEP 2017	30 SEP 2017
Iss Classification	FVOCI		Cash Flow Amt.7	821.92		Cash Flow Amt.19	821.92	
Iss Sub Type	FVOCIIFRS9ADJ		Cash Flow Date.8	31 OCT 2016		Cash Flow Date.20	31 OCT 2017	31 OCT 2017
Accounting Method	FVOCIIFRS9		Cash Flow Amt.8	849.32		Cash Flow Amt.20	849.32	
Asset Liab Ind	A		Cash Flow Date.9	30 NOV 2016		Cash Flow Date.21	30 NOV 2017	30 NOV 2017
Currency	USD		Cash Flow Amt.9	821.92		Cash Flow Amt.21	821.92	
Interest Basis	E		Cash Flow Date.10	31 DEC 2016		Cash Flow Date.22	31 DEC 2017	31 DEC 2017
Market Key	10		Cash Flow Amt.10	849.32		Cash Flow Amt.22	849.32	
Market Margin	0		Cash Flow Date.11	31 JAN 2017		Cash Flow Date.23	31 JAN 2018	31 JAN 2018
Margin Operand	+		Cash Flow Amt.11	849.32		Cash Flow Date.24	28 FEB 2018	28 FEB 2018
Contract Rate	10.00		Cash Flow Date.12	28 FEB 2017		Cash Flow Amt.24	767.12	
Value Date	22 APR 2016		Cash Flow Amt.12	767.12		Cash Flow Date.25	31 MAR 2018	31 MAR 2018
Maturity Date	22 APR 2018		Cash Flow Date.13	31 MAR 2017		Cash Flow Amt.25	849.32	
Accrual Method	FIRST-DAY		Cash Flow Amt.13	849.32		Cash Flow Date.26	22 APR 2018	22 APR 2018
Cash Flow Date.1	22 APR 2016		Cash Flow Date.14	30 APR 2017		Cash Flow Amt.26	100,602.74	
Cash Flow Amt.1	-98,000		Cash Flow Amt.14	821.92		Posting Details Id	FVOCIIFRS9ADJ	FVOCI IFRS9 ADJ.
Cash Flow Date.2	30 APR 2016		Cash Flow Date.15	31 MAY 2017		Eir Reqd	Y	
Cash Flow Amt.2	219.18		Cash Flow Amt.15	849.32		Eir	11.7053599796049	
Cash Flow Date.3	31 MAY 2016		Cash Flow Date.16	30 JUN 2017		Product Category	21050	
Cash Flow Amt.3	849.32		Cash Flow Amt.16	821.92		Stage	1	
Cash Flow Date.4	30 JUN 2016		Cash Flow Date.17	31 JUL 2017		Next Review Date	22 APR 2016	22 APR 2016
Cash Flow Amt.4	821.92		Cash Flow Amt.17	849.32		Curr No	1	
Cash Flow Date.5	31 JUL 2016		Cash Flow Date.18	31 AUG 2017		Inputter. 1	21_INPUTTER	
Cash Flow Amt.5	849.32		Cash Flow Amt.18	849.32		Date Time. 1	22 JUN 17 12:23	22 JUN 17 12:23
Cash Flow Date.6	31 AUG 2016					Authoriser	21_AUTHORISER	
Cash Flow Amt.6	849.32							

The EB.CASHFLOW for contract with FVOCI business model is shown above.

The Transaction Entries for the contract is shown below for the date 22 APR 2016:

Transaction Entry

Transaction Ref : LD1611312475

Date	Account	Customer	Company code	Value date	Currency	FCY Amount	LCY Amount	
22 APR 2016	83461	12345	BNK	22 APR 2016	USD	0	-2,000.00	
22 APR 2016	83461	12345	BNK	22 APR 2016	USD	0	100,000.00	
22 APR 2016	PL 51-163	12345	BNK	22 APR 2016	USD	0	-49.04	
22 APR 2016	IFRS Adjustment	12345	BNK	22 APR 2016	USD	0	49.04	
22 APR 2016	LIVE NEW CONTRACT	12345	BNK	22 APR 2016	USD	0	-100,000.00	
22 APR 2016	CAPITALISATION	12345	BNK	22 APR 2016	USD	0	2,000.00	

The various entries that have come under RE.CONSOLE.SPEC.ENTRY, STMT.ENTRY, CATEG.ENTRY are shown below for the said contract.

RE.CONSOLE.SPEC.ENTRY 180715271014394.040002 (Model Bank 201706)		STMT.ENTRY 180715271014394.040001 (Model Bank 201706)	
Deal Number	LD1611312475	Account Number	83461
Company Code	GB-001-0001	Company Code	ABC IMPEX
Amount Lcy	-100,000.00	Amount Lcy	100,000.00
Transaction Code	CNW	Transaction Code	402
Consol Key Type	LD.1.TR.USD.21050.2001.GB.SY....2710....GB0010001.LIVEDB	Customer Id	12345
Narrative.1	20180422	Account Officer	2002
Narrative.6	-100000	Product Category	1-001
Customer Id	12345	Value Date	22 APR 2016
Account Officer	2002	Currency	USD
Product Category	21-050	Position Type	TR
Value Date	22 APR 2016	Our Reference	LD1611312475
Currency	USD	Exposure Date	22 APR 2016
Position Type	TR	Currency Market	1
Our Reference	LD1611312475	Department Code	1
Currency Market	1	Trans Reference	LD1611312475
Department Code	1	System Id	LD
Trans Reference	LD1611312475	Booking Date	22 APR 2016
System Id	LD	Stmt No.1	180715271014394.04
Booking Date	22 APR 2016	Stmt No.2	1-2
Stmt No.1	180715271014394.04	Curr No	1
Stmt No.2	1-2	Inputter.1	21_INPUTTER_OFS_BROWSERTC
Curr No	1	Date Time.1	22 JUN 17 12:23
Inputter.1	21_INPUTTER_OFS_BROWSERTC	Authoriser	21_AUTHORISER
Date Time.1	22 JUN 17 12:23	Crf Type	CREDIT
Authoriser	21_AUTHORISER	Consol Key	AC.1.TR.USD.1001.2001.GB....2710....GB0010001

STMT.ENTRY 180715271014394.040002 (Model Bank 201706)		RE.CONSOLE.SPEC.ENTRY 180715271014394.040001 (Model Bank 201706)	
Account Number	83461	Deal Number	LD1611312475
Company Code	GB-001-0001	Company Code	GB-001-0001
Amount Lcy	-2,000.00	Amount Lcy	2,000.00
Transaction Code	430	Transaction Code	CAP
Customer Id	12345	Consol Key Type	LD.1.TR.USD.21050.2001.GB.SY....2710....GB0010001.52161
Account Officer	2002	Narrative.1	20180422
Product Category	1-001	Customer Id	12345
Value Date	22 APR 2016	Account Officer	2002
Currency	USD	Product Category	21-050
Position Type	TR	Value Date	22 APR 2016
Our Reference	LD1611312475	Currency	USD
Currency Market	1	Position Type	TR
Department Code	1	Our Reference	LD1611312475
Trans Reference	LD1611312475	Currency Market	1
System Id	LD	Department Code	1
Booking Date	22 APR 2016	Trans Reference	LD1611312475
Stmt No.1	180715271014394.04	System Id	LD
Stmt No.2	1-2	Booking Date	22 APR 2016
Curr No	1	Stmt No.1	180715271014394.04
Inputter.1	21_INPUTTER_OFS_BROWSERTC	Stmt No.2	1-2
Date Time.1	22 JUN 17 12:23	Curr No	1
Authoriser	21_AUTHORISER	Inputter.1	21_INPUTTER_OFS_BROWSERTC
Crf Type	CREDIT	Date Time.1	22 JUN 17 12:23
Consol Key	AC.1.TR.USD.1001.2001.GB....2710....GB0010001	Authoriser	21_AUTHORISER
Crf Prod Cat	21-050	Processing Date	22 APR 2016

RE.CONSOLE.SPEC.ENTRY 180715271014395.060001 (Model Bank 201706)		CATEG.ENTRY 180715271014395.060001 (Model Bank 201706)	
Deal Number	LD1611312475	Company Code	GB-001-0001 Model Bank 201706
Company Code	GB-001-0001 Model Bank 201706	Amount Lcy	-49.04
Amount Lcy	49.04	Transaction Code	966 FVOCI STAGE 1
Transaction Code	IFA IFRS Adjustment	Pl Category	51-163 FVOCI STAGE 1 ADJ
Consol Key Type	LD.1.IF.USD.21050.2001.GB.5Y....2710.....GB0010001.IF*51163	Customer Id	12345 ABC IMPEX
Narrative.1	20180422	Value Date	22 APR 2016 22 APR 2016
Narrative.6	49.04	Currency	USD US Dollar
Customer Id	12345 ABC IMPEX	Position Type	IF INTERNATIONAL FINANCIAL A
Value Date	22 APR 2016 22 APR 2016	Our Reference	LD1611312475
Currency	USD US Dollar	Currency Market	1 Currency Market
Position Type	IF INTERNATIONAL FINANCIAL A	Department Code	1 Implementation
Our Reference	LD1611312475	Trans Reference	LD1611312475
Currency Market	1 Currency Market	System Id	LDIF IFRS ENTRY FOR LD
Department Code	1 Implementation	Booking Date	22 APR 2016 22 APR 2016
Trans Reference	LD1611312475	Stmnt No.1	180715271014395.06
System Id	LDIF IFRS ENTRY FOR LD	Stmnt No.3	1
Booking Date	22 APR 2016 22 APR 2016	Curr No	1
Stmnt No.1	180715271014395.06	Inputter.1	21_INPUTTER_OFS_BROWSERTC
Stmnt No.3	1	Date Time.1	22 JUN 17 12:23 22 JUN 17 12:23
Curr No	1	Authoriser	21_AUTHORISER
Inputter.1	21_INPUTTER_OFS_BROWSERTC	Consol Key	PLIF.51163.21050.2001.2002.GB.5Y.....GB0010001
Date Time.1	22 JUN 17 12:23 22 JUN 17 12:23	Processing Date	22 APR 2016 22 APR 2016
Authoriser	21_AUTHORISER		
Processing Date	22 APR 2016 22 APR 2016		

IFRS.ACCT.BALANCES, IFRS.ACCOUNTING.DETAILS along with the contract wise balances screen is shown below for the contract:

IFRS.ACCT.BALANCES LD1611312475 (Model Bank)		IFRS.ACCOUNTING.DETAILS LD1611312475-20160422 (M)	
Acct Head Type.1	AMORTISED-STAGE1	Acct Head Type.1	AMORTISED-STAGE1
Balance.1	0	Ifrs Balance.1	49.04
Last Calc Date.1	22 APR 2016 22 APR 2016	Npv Con Cf Amort	-98,089.2
Last Calc Amt.1	49.04	Npv Exp Cf Amort	-98,040.16
Npv Con Cf Amort	-98,089.2	Cashflow Version	1
Npv Exp Cf Amort	-98,040.16	Curr Num	1
Prob Of Deft	0.10	Period Date.1	22 APR 2016 22 APR 2016
Loss Given Deft	50.00	I9act Head Type.1	AMORTISED-STAGE1
Ecl	49.04	Prob Of Deft.1	0.10
Ifrs9 Contract Bal	-100,812.86	Loss Given Deft.1	50.00
Stage	1	I9npv Con Cf Amort.1	-98,089.2
		I9npv Exp Cf Amort.1	-98,040.16
		Ecl.1	49.04
		Stage.1	1
		Period Date.2	22 APR 2017 22 APR 2017
		I9act Head Type.2	AMORTISED-STAGE1
		Prob Of Deft.2	0.15
		Loss Given Deft.2	50.00
		I9npv Con Cf Amort.2	-89,196.52
		I9npv Exp Cf Amort.2	-89,129.62
		Ecl.2	66.9
		Stage.2	1

Contract wise Balances							
Contract	CCY	Balance Type	Mat Date	Open Balance	Credit Mvmt	Debit Mvmt	Closing Balance
LD1611312475	USD	52161	22 APR 2018	0.00	2,000.00	0.00	2,000.00
		LIVEDB	22 APR 2018	0.00	0.00	-100,000.00	-100,000.00
		IF*51163	22 APR 2018	0.00	49.04	0.00	49.04

After the first COB, the following screenshots show the tables of IFRS.ACCT.BALANCES, IFRS.ACCOUNTING.DETAILS are shown below:

IFRS.ACCT.BALANCES LD1611312475		IFRS.ACCOUNTING.DETAILS LD1611312475-20160422	
Acct Head Type.1	AMORTISED-STAGE1	Acct Head Type.1	AMORTISED-STAGE1
Balance.1	0	Ifrs Balance.1	49.04
Last Calc Date.1	22 APR 2016	Acct Head Type.2	AMORTISED
Last Calc Amt.1	49.04	Ifrs Balance.2	1.21
Acct Head Type.2	AMORTISED	Acct Head Type.3	FAIRVALUE
Balance.2	0	Ifrs Balance.3	-2,772.7
Last Calc Date.2	22 APR 2016	Contract Balance	-98,090.41
Last Calc Amt.2	1.21	Npv Con Cf Amort	-98,089.2
Acct Head Type.3	FAIRVALUE	Npv Con Cf Fv	-100,861.9
Balance.3	0	Npv Exp Cf Amort	-98,040.16
Last Calc Date.3	22 APR 2016	Cashflow Version	1
Last Calc Amt.3	-2,772.70	Curr Num	2
Contract Balance	-98,090.41		
Npv Con Cf Amort	-98,089.2		
Npv Con Cf Fv	-100,861.9		
Npv Exp Cf Amort	-98,040.16		
Prob Of Deft	0.10		
Loss Given Deft	50.00		
Ecl	49.04		
Ifrs9 Contract Bal	-100,812.86		
Stage	1		

Contract wise Balances							
Contract	CCY	Balance Type	Mat Date	Open Balance	Credit Mvmt	Debit Mvmt	Closing Balance
LD1611312475	USD	52161	22 APR 2018	1,991.78			1,991.78
		LIVEDB	22 APR 2018	-100,000.00			-100,000.00
		IF*51163	22 APR 2018	49.04			49.04
		51001	30 APR 2016	-82.19			-82.19
		IF*51074	22 APR 2018	1.21			1.21
		IF*51084	22 APR 2018	-2,772.70			-2,772.70

The various accounting entries are shown below to reflect the STMT.ENTRY, CATEG.ENTRY and RE.CONSOLE.SPEC.ENTRY after the first COB is run.

STMT.ENTRY		Account	Amount Lccy	Rate	CCY	Amount Fccy	Value date	Reference
	180715271014394.040001	83461	100,000.00		USD		22 APR 2016	LD1611312475
	180715271014394.040002	83461	-2,000.00		USD		22 APR 2016	LD1611312475
	180842174740141.140001	USD1426600010001	2,772.70		USD		22 APR 2016	LD1611312475

CATEG.ENTRY		Category	Product	Dept	Amount Lccy	CCY	Amount Fccy	Reference
	180715271014395.060001	51-163			-49.04	USD		LD1611312475
	180842174738675.230001	51-001	21050	2002	82.19	USD		LD1611312475
	180842174738675.230002	52-161	21050	2002	8.22	USD		LD1611312475
	180842174740141.140001	51-074	21050	2002	-1.21	USD		LD1611312475

RE.CONSOLE.SPEC.ENTRY - Default List					
Id	Deal number	Company code	Amount lcy	Transaction code	
	180715271014394.040001	LD1611312475	GB0010001	2000	CAP
	180715271014394.040002	LD1611312475	GB0010001	-100000	CNW
	180715271014395.060001	LD1611312475	GB0010001	49.04	IFA
	180842174738675.230001	LD1611312475	GB0010001	-82.19	ACC
	180842174738675.230002	LD1611312475	GB0010001	-8.22	ACC
	180842174740141.140001	LD1611312475	GB0010001	1.21	IFA
	180842174740141.140002	LD1611312475	GB0010001	-2772.7	IFA

4.3.5 FVPL Business Model:

The following is an example to show the contract which has been recorded in FVPL business model.

IFRS.ACCT.BALANCES

EB.CASHFLOW

IFRS.ACCT.BALANCES LD2008416071 (Model Bank)	
Acct Head Type.1	FAIRVALUE
Balance.1	-2,963.51
Last Calc Date.1	16 APR 2020 16 APR 2020
Last Calc Amt.1	6.18
Contract Balance	-110,723.29
Npv Con Cf Fv	-113,680.62

EB.CASHFLOW LD2008416071 (Model Bank)	
Customer Id	100335 Lindsay Fox
Ias Classification	FVPL Fair Value Through Profit & Loss
Ias Sub Type	FVPLIFRS9ADJ
Accounting Method	FVPL-IFRS9
Asset Liab Ind	A
Currency	USD US Dollar
Interest Basis	E 366/365
Market Key	8
Market Margin	0
Margin Operand	+
Contract Rate	10.00
Value Date	24 MAR 2020 24 MAR 2020
Maturity Date	22 FEB 2022 22 FEB 2022
Accrual Method	FIRST-DAY
Prft Loss Flag	PROFIT
Cash Flow Date.1	24 MAR 2020 24 MAR 2020
Cash Flow Amt.1	-110,000
Cash Flow Date.2	22 FEB 2022 22 FEB 2022
Cash Flow Amt.2	131,095.89
Posting Details Id	FVPL-IFRS9ADJ IFRS9 FVPL ADJUST
Product Category	21050
Application	LD

A screenshot of IFRS.ACCOUNTING.DETAILS is shown below.

IFRS.ACCOUNTING.DETAILS LD2008416071-20200416 (Model Bank)	
Acct Head Type.1	FAIRVALUE
Ifrs Balance.1	-2,957.33
Contract Balance	-110,723.29
Npv Con Cf Fv	-113,680.62
Cashflow Version	1
Curr Num	1

The Balances for the contract is shown below.

Contract wise Balances							
Contract	CCY	Balance Type	Mat Date	Open Balance	Credit Mvmt	Debit Mvmt	Closing Balance
LD2008416071	USD	LIVEDB	22 FEB 2022	-110,000.00			-110,000.00
		51001	22 FEB 2022	-723.29			-723.29
		IF*51100	22 FEB 2022	-2,957.33			-2,957.33

4.4 Calculations of ECL by the System:

IFRS 9 does not prescribe particular measurement methods. An entity uses various sources of data that may be internal (entity-specific) and external. IFRS 9 does not impose rules on the selection of the methods to work out the ECLs. The system provides three options to work out the ECLs based on the type of the products and nature of cash flows.

The following picture shows the Impairment loss calculations for all the three stages:

✓ Classifying the financial assets in to three buckets i.e. Stage 1, Stage 2 and Stage 3. ✓ Start recognising the ECLs from the initial recognition. ✓ Calculate and account for the ECLs based on the stage of the asset.			
Stage	Requirement	Impairment Loss	Note:
Stage 1	- As soon as a financial instrument is originated or purchased, 12-month expected credit losses will be recognised in profit or loss and a loss allowance will be established. - For financial assets, interest revenue will be calculated on the gross carrying amount (i.e. without adjustment for expected credit losses).	12M ECL = 12M Cash Shortfalls 12M ECL = NPV of (CCF – ECF) Where Expected Cash flows = Contractual Cash flows * (1 – PD. 12M * LGD)	IFRS 9 is an accounting and reporting standard with a combination of accounting and risk areas. In order to work out the ECLs, system will require the following two statistical elements relating to risk: ✓ Probability of Default (PDs) ✓ Loss given Default (LGDs) The guidance issued for IFRS 9 compliance states that the financial institutions could use the above two elements derived out of their Basel regulation compliance. The system will provide an ability to consume the above two elements in to Temenos Core Banking system either from the client's external risk system or Temenos Insight Risk.
Stage 2	- If the credit risk increases significantly and the resulting credit quality is not considered to be low credit risk, full lifetime expected credit losses will be recognised. - Lifetime expected credit losses will only recognised if the credit risk increases significantly from when the entity originates or purchases the financial instrument.	LTM ECL = LTM Cash Shortfalls LTM ECL = NPV of (CCF – ECF) Where Expected Cash flows = Contractual Cash flows * (1 – PD. LTM * LGD)	
Stage 3	- If the credit risk of a financial asset increases to the point that it is considered credit-impaired, interest revenue will be calculated based on the amortised cost (i.e. the gross carrying amount adjusted for the loss allowance). - Financial assets in this stage will generally be individually assessed.	ECL = Recoverable Value Less Book Value where, Recoverable Value = NPV of ECF discounted @ EIR Book Value = NPV of the CCF discounted at the EIR	

4.4.1 Option 1 – Cash flow Method:

Most of the contracts with contractual cash flows and fall under the Business Model of AMC and FVOCI follow this option. The applications that use this method are AA, MM, and SC for interest bearing securities.

The first option discounts the cash shortfalls based on the Stages they belong to.

According to IFRS 9, the following definitions are important to work out the ECLs:

Term	Definitions
Credit Loss	NVP of all cash shortfalls expected over the life
12 Months ECL	12-month ECL is a portion of lifetime ECL and represents the lifetime cash shortfalls that results if a default occurs in the next 12 months after the reporting date, weighted by the probability of that default occurring.
Lifetime ECL	Lifetime ECL is the expected present value measures all cash shortfalls that arise if a default occurs in the lifetime of the asset, which is weighted by the probability of default.

The following formulas are used to work out the ECLs for the below stages:

Stage	Discounting Cash flows using EIR
1	12M ECL = 12M Cash Shortfalls 12M ECL = NPV of Contractual Cash flows – NPV of Expected Cash flows Where Expected Cash flows = Contractual Cash flows $\times (1 - PD.12M \times LGD)$
2	Option 1: Where PD of each period is used to work out the ECL for each period. LTM ECL = LTM Cash Shortfalls LTM ECL = NPV of Contractual Cash flows – NPV of Expected Cash flows Where Expected Cash flows = Contractual Cash flows $\times (1 - PD.LTM(1) \times LGD)$ + Contractual Cash flows $\times (1 - PD.LTM(2) \times LGD)$... + Contractual Cash flows $\times (1 - PD.LTM(N) \times LGD)$ Option 2: Where a single LTM PD is used to work out the ECLs. LTM ECL = LTM Cash Shortfalls LTM ECL = NPV of Contractual Cash flows – NPV of Expected Cash flows Where Expected Cash flows = Contractual Cash flows $\times (1 - PD.LTM \times LGD)$
3	Same as above for Stage 2. Except for Stage 2, the interest is recognized on a Gross Basis and in Stage 3 it is recognized on a Net Basis. Gross Carrying Amount is Net Present Value of the contractual Cashflows less Adjustment value of AMC/FV. Net Carrying Amount will be the IFRS9 Contract Balance. As soon as the Asset moves from Stage 2 to Stage 3, the present Impairment functionality needs to be reused. Also an option is provided in the system to use the existing functionality to Impair an asset using the application IFRS.DATA.CAPTURE. Click here to refer the functionality of IFRS.DATA.CAPTURE.

4.4.1.1 Calculation of ECL – Stage 1:

- Based on the contractual cash flows, the system works out the EIR (existing functionality)
- Immediately on the recognition of an asset in the books, both 12M and LTM ECLs are worked out.
- For assets belonging to Stage 1, the requirement is to recognize the 12 months ECL.
- 12M ECL = 12M Cash Shortfalls
- 12M ECL = NPV of Contractual Cash flows – NPV of Expected Cash flows
- Where Expected Cash flows = Contractual Cash flows $\times (1 - PD.12M \times LGD)$
- This Stage is updated in the table named EB.CASHFLOW in an introduced field named 'Stage'.
- The amount of the ECL gets updated in the table named IFRS.ACCT.BALANCES and IFRS.ACCOUNTING.DTLS.
- The normal amortization continues according to the present functionality.
- At each reporting date, both 12M and LTM ECLs are computed by the system and based on the stage of the asset, the loss is booked.

4.4.1.2 Calculation of ECL – Stage 2:

- If the credit risk of an asset increases significantly, then based on the rules the asset moves from Stage 1 to Stage 2.
- At Stage 2, the full Lifetime ECL is recognized but the interest is accounted on a gross basis.

4.4.1.3 Calculation of ECL – Stage 3:

- If the credit risk of an asset increases to a stage where it is considered credit impaired, then based on the rules the asset moves from Stage 2 to Stage 3.
- At Stage 3 the full Life time ECL is recognized but the interest is accounted on a net basis.

- The existing functionality of Impairment Accounting in the system is reused. In that case the cumulative loss under Stage 2 is reversed out and once the contract is manually impaired using IFRS.DATA.CAPTURE, a full LTM ECL is computed again and accounted for.
- Also, an option is provided in the system to use the existing functionality to 'Impair' an asset using the application named IFRS.DATA.CAPTURE.
- This Stage is updated in the table named EB.CASHFLOW in an introduced field named 'Stage'.
- The amount of the ECL gets updated in the existing tables named IFRS.ACCT.BALANCES and IFRS.ACCOUNTING.DTLS.
- The normal amortization continues according to the present functionality.

4.4.2 Option 2 – Provisioning Method:

Most of the products where the generation of the cash flow is not possible follow the Provisioning method to work out the expected credit losses. Products like Bank Accounts use this method.

The existing framework available in the system as part of the IA module has the required capability to work out the ECL amount on the outstanding amount for Guarantee and Bank Accounts without discounting. The following process is followed in order to work out the ECLs:

- The amount on which the ECL is computed is the balance of the AC Accounts application.
- The LGDs are provided by the clients either from their External System or consumed from the Temenos Insight Risk system.
- The PDs and LGD are input manually in local ref. field in the Bank Accounts and Guarantee versions based on the Classification of the Asset.
- The formula of ECL is $ECL = PD * LGD * \text{Amount Outstanding}$.

The ECL calculation for IA module is defined in T24 as follows:

IAS.APPLICATION.PARAM ACCOUNT (Tourism Dev Fund Lead)	
GB Description	WORKING BAL FOR BANK
Trigger Upd At Aut	N
Change Act Group	Yes
Balances Field.1	CURRENCY
Appl Field.1	MAIN*CURRENCY
Map Action.1	Build
Amount Type.1	WORKING.BALANCE WORKING BALANCE FOR BANKS
Balance Field.1	MAIN*WORKING.BALANCE
Calc Order.1	1
Amount Type.2	L.TDF.PD1 L.TDF.PD1
Balance Field.2	MAIN*L.TDF.PD1
Calc Order.2	2
Amount Type.3	L.TDF.LGD L.TDF.LGD
Balance Field.3	MAIN*L.TDF.LGD
Calc Order.3	3
Amount Type.4	WORK.AMT WORKING AMOUNT FOR BANK
Curr No	3
Inputter.1	895_MURAD.01_OFS_BROWSERTC
Date Time.1	26 MAY 21 06:17 26 MAY 21 06:17
Authoriser	895_MURAD.01_OFS_BROWSERTC
Co Code	SA-002-1001 Tourism Dev Fund Lead
Dept Code	1 Implementation

4.5 Raising of Accounting Entries by the System:

The system will raise the accounting entries based on the following:

- Accounting methods and rules defined in the parameter tables
- Classification of the stage they belong.

Stage 1

- As soon as the asset is recognized, it immediately falls under Stage 1 unless a different stage either 2 or 3 is assigned to.
- At this stage the first 12 Months Expected Credit Losses are worked out.
 - Dr. Profit & Loss (51060)
 - Cr. ECL Allowance Stage 1 (IF*51060)
- If the assets remain in this stage then every 12 months, the ECL is reviewed and additional allowance provided till its life.
- The normal amortized cost/fair value as calculated currently in compliance with IAS 39 still continues to be accounted for.

Stage 2

- If the credit risk of the asset increases then based on the rules, the asset moves from Stage1 to Stage2.
- ECL provided under Stage 1 moves to Stage 2.
 - Reverse the ECL provision from Stage 1 Bucket
 - Cr. ECL Allowance Stage 1 (51060)
 - Dr. Profit & Loss (IF*51060)
 - Move the balance of Stage 1 ECL to Stage 2 bucket.
 - Dr. Profit & Loss (51061)
 - Cr. ECL Allowance Stage 2 (IF*51061)
- At this stage the entire Lifetime Expected Credit Losses will be worked out and posted to Stage 2 bucket.
 - Dr. Profit & Loss (51061)
 - Cr. ECL Allowance Stage 2 (IF*51061)
- The normal amortized cost/fair value as calculated currently in compliance with IAS 39 still continues to be accounted for.
- From Stage 2, the asset moves either back to Stage 1 if the risk reduces or to Stage 3 if the risk increases.

	Entries		Balances		Entries		Balances		Entries		Balances		Entries		Balances	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
	51060	51060	51060	51060	51061	51061	51061	51061	51062	51062	51062	51062	51063	51063	51063	51063
	PL	ALLOWANCE (Stage 1)	PL	ALLOWANCE (Stage 1)	PL	ALLOWANCE (Stage 2)	PL	ALLOWANCE (Stage 2)	PL	ALLOWANCE (Stage 3)	PL	ALLOWANCE (Stage 3)	PL	Unwinding Adjustments	PL	Unwinding Adjustments
Stage 1	-x	x	-x	x												
Stage 2	x	-x			-x	x	-x	x								
					-y	y	-x-y	x+y								
Stage 3					x+y	-x-y			-x-y	x+y	-x-y-z	x+y+z	-a	a	-a	a

A tabular form of entries is shown in the above snapshot to show the accounting entries during stage movements.

Stage 3

- If the credit risk of the asset increases to a level of credit impaired then the asset is classified in to Stage 3.
- ECL provided under Stage 2 moves to Stage 3.

- Reverse the ECL provision from Stage 2 Bucket
 - Cr. ECL Allowance Stage 2 (51061)
 - Dr. Profit & Loss (IF*51061)
- Move the balance of Stage 2 ECL to Stage 3 bucket.
 - Dr. Profit & Loss (51062)
 - Cr. ECL Allowance Stage 3 (IF*51062)
- The current functionality of Impairment under IAS 39 books the Impairment Loss.
 - At this stage the entire Lifetime Expected Credit Losses is worked out and posted to the Stage 2 bucket.
 - Dr. Profit & Loss (51062)
 - Cr. ECL Allowance Stage 3 (IF*51062)
- As soon as the asset is individually impaired, the normal unwinding of interest continues till its maturity, provided the asset remains in Stage 3.
- At this stage the entire Lifetime Expected Credit Losses is worked out and posted to the Stage 2 bucket.
 - Dr. Profit & Loss (51063)
 - Cr. Unwinding Adjustments (IF*51063)
- From Stage 3, the asset moves either back to Stage 1 or Stage 2 if the risk reduces based on the rules.

4.6 IFRS.DATA.CAPTURE:

An operation in IFRS.DATA.CAPTURE table is used for IFRS9, whereby the stage change can be manually made possible.

The contract in IFRS9 which may be in anyone of the stages can be manually moved into another stage.

Movement of contract can happen from Stage 1 to Stage 2, Stage 2 to Stage 3 or Stage 3 to Stage 1.

The field 'Operation' can be chosen to perform the stage change and 'Stage' field would indicate to which stage, the contract would be moved to.

The following snapshot shows the stage change operation performed using the application IFRS.DATA.CAPTURE:

IFRS.DATA.CAPTURE IFDC2009200012 (Model Bank)		IFRS.DATA.CAPTURE IFDC2009100010 (Model Bank)	
Application	Sc.trading.position	Application	Aa.arrangement
Contract Number	999999-5.300400-000	Contract Number	86371
Currency	USD	Currency	USD
Operation	Stage.change	Operation	Stage.change
Effective Date	01 APR 2020	Impair Accounting	Yes
Impairment Code.1	500	Acct Run Option	Online
Action Notes.1	Impairment of Government Bonds	Stage	2
Impair Accounting	Yes		
Acct Run Option	Online		
Stage	3		

IFRS.DATA.CAPTURE stage change operation is indicated in the above picture.

The following example is shown to perform the stage movements for a loan contract to different stages:

IFRS ACCOUNTING DETAILS - Work - Microsoft Edge		IFRS ACCOUNTING DETAILS - Work - Microsoft Edge	
Back to: IFRS.ACCOUNTING.DETAILS - Default List >		Back to: IFRS.ACCOUNTING.DETAILS - Default List >	
IFRS.ACCOUNTING.DETAILS 2000006117-20240818 (OHb Lead)		IFRS.ACCOUNTING.DETAILS 2000006117-20240901 (OHb Lead)	
Acct Head Type.1	AMORTISED	Acct Head Type.1	AMORTISED
Ifrs Balance.1	-21.93	Ifrs Balance.1	-0.44
Acct Head Type.2	DISCLOSURE	Acct Head Type.2	DISCLOSURE
Ifrs Balance.2	-49,287.98	Ifrs Balance.2	-49,380.3
Acct Head Type.3	AMORTISED-STAGE1	Acct Head Type.3	AMORTISED-STAGE1
Ifrs Balance.3	0	Ifrs Balance.3	5,008.67
Acct Head Type.4	AMORTISED-STAGE2	Acct Head Type.4	AMORTISED-STAGE2
Ifrs Balance.4	0	Ifrs Balance.4	0
Acct Head Type.5	IMPAIR.AMORTISED	Acct Head Type.5	IMPAIR.AMORTISED
Ifrs Balance.5	30,060.49	Ifrs Balance.5	0
Contract Balance	-50,044.54	Acct Head Type.6	UNWIND
Npv Con Cf Amort	-50,066.47	Ifrs Balance.6	0
Npv Exp Cf Amort	-30,060.5	Contract Balance	-50,086.29
Cashflow Version	2	Npv Con Cf Amort	-50,086.73
Curr Num	2	Npv Exp Cf Amort	-45,078.06
Period Date.1	19 AUG 2024	Cashflow Version	3
Prob Of Deft.1	100.00	Curr Num	2
Loss Given Deft.1	50.00	Period Date.1	02 SEP 2024
I9npv Con Cf Amort.1	-50,066.47	I9act Head Type.1	AMORTISED-STAGE1
I9npv Exp Cf Amort.1	-30,060.50	Prob Of Deft.1	20.00
Ecl.1	30,060.49	Loss Given Deft.1	50.00
Stage.1	3	I9npv Con Cf Amort.1	-50,086.73
Overdue Balances	-10,054.52	I9npv Exp Cf Amort.1	-45,078.06
Ifrs9 Contract Balance	-30,060.5	Ecl.1	5,008.67
		Stage.1	1
		Overdue Balances	0
		Ifrs9 Contract Balance	-45,078.06

4.8 Enquiries:

The Menu for the enquiries is shown in the below screenshot:



Financial Assets -> Classified on Business Model -> Classified on AMC

Financial Asset based on AMC - Work - Microsoft Edge

Not secure | 192.168.239.18:9089/OHBIFRS-browser/servlet/BrowserServlet

Results 1 - 19 of 27

Financial Assets based on AMC

Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Exposure at Default	Stage 1	Stage 2	Stage 3	Overdue Balances	Net Carrying Amount
2000005803	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-58,464.58		5,846.46				-52,618.12
2000005838	AC	Financial Asset	3000	1% SUBSIDIZED MORTGAGE LOAN	OMR	-50,226.43					0.00	-50,226.43
2000005846	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-58,459.90					0.00	-58,459.90
2000005854	AC	Financial Asset	3007	AUTO LOAN	OMR	-50,108.52		5,010.85				-45,097.67
2000005862	AC	Financial Asset	3000	1% SUBSIDIZED MORTGAGE LOAN	OMR	-50,120.32		5,012.03				-45,108.29
2000005878	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-58,459.90		5,845.99				-52,613.91
2000005897	AC	Financial Asset	3007	AUTO LOAN	OMR	-835,116.87		83,511.69				-751,605.18
2000005908	AC	Financial Asset	3007	AUTO LOAN	OMR	-835,069.85		83,506.98				-751,562.87
2000005919	AC	Financial Asset	3007	AUTO LOAN	OMR	-834,981.21		83,498.12				-751,483.09
2000005994	AC	Financial Asset	3007	AUTO LOAN	OMR	-7,514,726.05		1,002,837.73			-2,513,651.22	-9,025,539.54
2000006044	AC	Financial Asset	3007	AUTO LOAN	OMR	-75,147,260.70		10,022,377.27			-25,076,512.05	-90,201,395.48
2000006052	AC	Financial Asset	3007	AUTO LOAN	OMR	-112,720,891.04		15,042,565.91			-37,704,768.09	-135,383,093.22
2000006087	AC	Financial Asset	3000	1% SUBSIDIZED MORTGAGE LOAN	OMR	-52,612.24		5,766.46			-5,052.38	-51,898.16
2000006117	AC	Financial Asset	3000	1% SUBSIDIZED MORTGAGE LOAN	OMR	-45,065.09				25,046.17	-5,027.26	-25,046.18
2000006222	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-83,829.82				44,414.91	-5,000.00	-44,414.91
2000006273	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-72,282.83				38,641.41	-5,000.00	-38,641.42
2000006303	AC	Financial Asset	3007	AUTO LOAN	OMR	-4,506.25				2,253.12	0.00	-2,253.13
2000006419	AC	Financial Asset	3006	PERSONAL LOAN	OMR	-29,105.90		6,419.47			-35,088.83	-57,775.26
2000006427	AC	Financial Asset	3007	AUTO LOAN	OMR	-1,669,063.10				1,252,426.24	-835,789.38	-1,252,426.24

The above screenshot shows the enquiry for Financial Assets which are based on AMC business model.

Financial Assets -> Classified on Business Model -> Classified on FVOCI

Results 1 - 4 of 4

Financial Assets based on FVOCI

Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Stage 1	Stage 2	Stage 3	Net Carrying Amount
LD0935602017	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	25.01			-49,587.67
LD0935602018	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	25.01			-49,587.67
LD0935602023	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	25.01			-49,587.67
LD0935602024	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	25.01			-49,587.67

Total of Business Model - FVOCI ::: -198,350.68

The above screenshot shows the enquiry for Financial Assets which are based on FVOCI business model.

Financial Assets -> Classified on Business Model -> Classified on FVPL

Results 1 - 4 of 4

Financial Assets based on FVPL

Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Stage 1	Stage 2	Stage 3	Net Carrying Amount
LD0935602025	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	24.80			-49,587.88
LD0935602026	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	24.80			-49,587.88
LD0935602031	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	24.80			-49,587.88
LD0935602032	LD	Financial Asset	21073	Customer Loans	USD	-49,612.68	24.80			-49,587.88

Total of Business Model - FVPL ::: -198,351.52

The above screenshot shows the enquiry for Financial Assets which are based on FVPL business model.

Financial Assets -> Classified on Stage

Financial Assets based on Stage

Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Stage 1	Stage 2	Overdue Balances	Net Carrying Amount
85178	AC	Financial Asset	3103	AA Mortgage	USD	-49,706.44			-500.00	-50,167.72
85243	AC	Financial Asset	3105	Home Equity Loan	USD	-64,715.22				-64,667.57
85308	AC	Financial Asset	3103	AA Mortgage	USD	-99,855.48			-500.00	-100,280.06
85917	AC	Financial Asset	3103	AA Mortgage	USD	-300,429.65				-300,206.90
86371	AC	Financial Asset	3101	AA Commercial Loan	USD	-100,369.83			-250.00	-100,536.27
86436	AC	Financial Asset	3101	AA Commercial Loan	USD	-100,369.83			-250.00	-100,536.27
86525	AC	Financial Asset	3101	AA Commercial Loan	USD	-100,369.83			-250.00	-100,536.27
87181	AC	Financial Asset	3103	AA Mortgage	USD	-250,030.16			-500.00	-250,344.23
87459	AC	Financial Asset	3103	AA Mortgage	USD	-149,768.11				-149,656.14
87467	AC	Financial Asset	3103	AA Mortgage	USD	-249,960.13				-249,774.43
87483	AC	Financial Asset	3105	Home Equity Loan	USD	-64,631.35				-64,583.65
LD2008493032	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-105,632.02				10,094.49
SL20079453060010001	SL	Financial Asset	49910	Non-Revolving Syndicated Loan	USD	-100,464.46				-100,381.22
SL20079502680010001	SL	Financial Asset	49910	Non-Revolving Syndicated Loan	USD	-100,464.52				-100,381.28

The above screenshot lists the Financial Assets under various Stages.

Financial Assets -> Classified on Product

Financial Assets based on Product										
Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Stage 1	Stage 2	Overdue Balances	Net Carrying Amount
LD2010787937	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-100,024.98		75.02		-99,949.96
LD2010862833	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-100,025.01	50.01			-99,975.00
SL20079453060010001	SL	Financial Asset	49910	Non-Revolving Syndicated Loan	USD	-100,464.46				-100,381.22
SL20079502680010001	SL	Financial Asset	49910	Non-Revolving Syndicated Loan	USD	-100,464.52				-100,381.28

The above screenshot lists the Financial Assets which are having a specific product category.

Financial Assets -> Classified on Application

Assets based on Application										
Contract Id	Application	Financial Instrument	Category	Product	Currency	Gross Carrying Amount	Stage 1	Stage 2	Overdue Balances	Net Carrying Amount
BR2008600004	BL	Financial Asset	30301	Factoring With Recourse	USD	-29,963.43				
LD2007919830	LD	Financial Asset	21052	Bridge Loan	USD	-25,246.37				
LD2007932821	LD	Financial Asset	21052	Bridge Loan	GBP	-24,623.26				
LD2007949164	LD	Financial Asset	21052	Bridge Loan	USD	-21,644.41				
LD2007974360	LD	Financial Asset	21052	Bridge Loan	USD	-25,246.37				
LD2007977114	LD	Financial Asset	21052	Bridge Loan	GBP	-24,734.28				
LD2007977607	LD	Financial Asset	21052	Bridge Loan	USD	-24,734.28				
LD2007984356	LD	Financial Asset	21052	Bridge Loan	USD	-25,246.37				
LD2008493032	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-105,632.02				10,094.49
LD2010787937	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-100,024.98		75.02		-99,949.96
LD2010862833	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-100,025.01	50.01			-99,975.00
LD2008400188	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-103,384.28	50.30			-103,333.98
LD2008416667	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-99,829.52		75.45		-99,754.07
LD2008435400	LD	Financial Asset	21050	***Loans Interest Bearing	USD	-123,617.23				-91,463.44

The above screenshot shows the enquiry for classification on Application.

5. Proposed Functionality

5.1 BRD01-03: Staging of Loans deals (Customization)

Staging (downgrade from 1 to 2 to 3) for Loans to be defined as highest of the stage assessed as per DPD criteria on parameter table.

IFRS9 Stages	Custom Stage/ Reporting Stage	From DPD	To DPD	PD DPD Bucket
STAGE1	Stage1	0	30	0-30
STAGE2	Stage 2a	31	60	31-60
	Stage 2b	61	89	61-89
STAGE3	Stage 3a	90	120	90-120
	Stage 3b	121	XXXXX	-

The above will be a local template **TAB.I9.LN.CLASS** and a version for this will be required with simple INPUT and AUTHORIZE functionality. A classification routine **TAB.AAL.PV.IF** will be developed and attached to relevant record id of **PV.MANAGEMENT**, to return the classification of AA Loans as mentioned in column name Customized Stage (above table) on the basis of number of days lying between column names **From DPD** and **To DPD** coherent with the highest no. of days from the multi-value field **TOT.DAYS** in **AA.OVERDUE.STATS** for every AA Loan.

“Custom Stage” column should be a dropdown value picking value from Record ID of **PV.LOAN.CLASSIFICATION**.

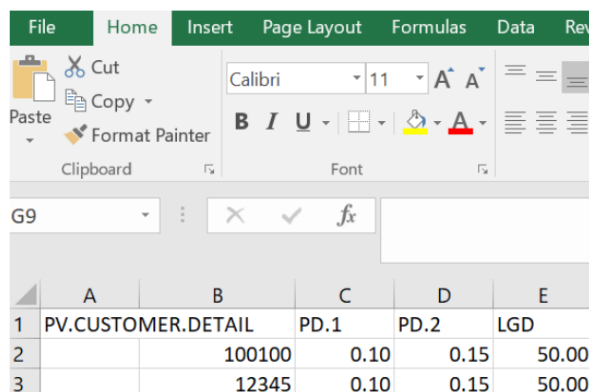
5.2 BRD01-02: Application of Probability of Default on Loans & LGD values (Customization)

The Probability of Default (PD) and Loss Given Default (LGD) values that are applied in the Expected Credit Loss (ECL) calculations can be uploaded at every individual record level or for group of records.

To consume the PD and LGD values in bulk, the system initiates an EB. FILE.UPLOAD process. In the example below, the EB. FILE.UPLOAD process is for two existing customer records, 100100 and 12345.

Perform the following to steps to bulk upload:

1. Create an excel file with customer record id's and respective PD values for upload and save the excel file in .csv format.



	A	B	C	D	E
1	PV.CUSTOMER.DETAIL		PD.1	PD.2	LGD
2		100100	0.10	0.15	50.00
3		12345	0.10	0.15	50.00

2. Upload this file path in TC Upload Path field in EB.FILE.UPLOAD.PARAM table.

EB.FILE.UPLOAD.PARAM **SYSTEM**

Tc Upload Path	C:\UTP-REL-2019.05.31-02-148-saf-retailsuite-developer-s08\Temenos\124home\default\tcupload
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3. Create a version for zero authorization.

Version **PV.CUSTOMER.DETAIL,TEST**

Records Per Page	1
Fields Per Line	Multi
Field No.1	PROB.OF.DEFT-1
Table Line.1	0
Field No.2	PROB.OF.DEFT-2
Table Line.2	0
Field No.3	LOSS.GIVEN.DEFT
Table Line.3	0
No Of Auth	0
Multi Possible	Y
Val Assoc	
MANAGEMENT.ID	
PR.REASON	
CUSTOMER.CONTRACT	
JOINT.FLAG	
Sub Assoc	
PR.CLASS.DTE	
PR.REASON	
Local Ref Field	LOCAL.REF
Report Locks	Yes

4. Create an EB.FILE.UPLOAD.TYPE record, to include the versions created.
5. Define the Upload DIR field where system updates the files uploaded. Extension of file upload to be mentioned as csv

EB.FILE.UPLOAD.TYPE CUSTOMER.TEST

Description	EN TEST CUST
Upload Dir	TEST.DIR
Extension	.CSV
Hdr Upd Appl	PV.CUSTOMER.DETAIL
Hdr Upd Version	PV.CUSTOMER.DETAIL,TEST
Separator	,
Items Upd Appl	PV.CUSTOMER.DETAIL
Items Upd Version	PV.CUSTOMER.DETAIL,TEST
Header Position	1
Hdr Id Included	Yes
Items Id Included	Yes

- Create an EB.FILE.UPLOAD record to upload the .csv file created, which holds the customer record id's with the respective PD values.

EB.FILE.UPLOAD UPLD1910711518

Upload Type	CUSTOMER.TEST		
System File Name			
File Name	Cust Upload.csv		
Status			
Description	TEST SAMPLE		
Target Company	GB0010001		

Upload Type	CUSTOMER.TEST
System File Name	INPUTT.1560849667826.csv
File Name	Cust Upload New1.csv
Status	Uploaded
Description	TEST SAMPLE
Target Company	GB0010001
Upload Size	68
Upload User	INPUTTER
Service Status	PROCESSED
Curr No	1

- Run the BNK/T24.UPLOAD.PROCESS service.

TSA.SERVICE BNK/T24.UPLOAD.PROCESS

Description.1	File Upload Process
Work Profile.1	T24.UPLOAD.PROCESS
User	SEAT.USER
Service Control	Start
Date.1	17 APR 2019
Started.1	19/06/2019 13:30:33
Stopped.1	19/06/2019 14:07:30
Elapsed.1	00:36:57
Date.2	17 APR 2019
Started.2	19/06/2019 13:14:32
Stopped.2	19/06/2019 13:15:53
Elapsed.2	00:01:21
Date.3	17 APR 2019
Started.3	18/06/2019 15:08:18
Stopped.3	18/06/2019 15:14:03
Elapsed.3	00:05:45
Date.4	16 APR 2019

- Before upload

PV.CUSTOMER.DETAIL 100100

Sequence No	
Sequence Date	
Prob Of Deflt.1	
Prob Of Deflt.2	
Loss Given Deflt	

PV.CUSTOMER.DETAIL 12345

Sequence Date	
Prob Of Deflt.1	
Prob Of Deflt.2	
Loss Given Deflt	

9. After upload

PV.CUSTOMER.DETAIL 100100

Pr Reason.1.2

Sequence No	
Sequence Date	
Prob Of Deflt.1	0.10
Prob Of Deflt.2	0.15
Loss Given Deflt	50.00

PV.CUSTOMER.DETAIL 12345

Sequence Date	
Prob Of Deflt.1	0.10
Prob Of Deflt.2	0.15
Loss Given Deflt	50.00

5.3 BRD01-05: Macro-Economic Factor addition to the ECL calculation (Dropped)

As per the excel sheet shared by Tamweel's team, there are four factors required for the computation of ECL. These are EAD, LGD, PD and MEF (Macroeconomic Factor). Temenos has the three factors available inside core for the purpose of calculating ECL namely (EAD, PD and LGD) the fourth factor cannot be added in the core as this will require high customization. We have analyzed this and propose a work around where MF number will be multiplied with PD number outside the core, this calculated number will be taken inside the core for the ECL calculation along with LGD number. (Ref. Tamweel Aloula Bank Sample ECL working).

	A	B	C	D
1	PV.CUSTOMER DETAIL	PD.2	Macro Economic Factor	Final PD.2
2	100100	0.15	1	0.15
3	12345	0.15	2	0.3
4				
5				